



CHAPTER li

An Act to incorporate the Lee Valley Water Company to transfer to that company the undertakings of the Barnet District Water Company the Herts and Essex Water Company and the Royston Water Company Limited and the water undertakings of the First Garden City Limited the trustees of a settlement by Lady Margaret Hermione Millicent Cobbold the mayor aldermen and burgesses of the borough of Hertford the Stevenage Development Corporation the Baldock Urban District Council the Hitchin Urban District Council the Ware Urban District Council the Welwyn Garden City Urban District Council the Braughing Rural District Council the Hertford Rural District Council the Hitchin Rural District Council the Ware Rural District Council and the Welwyn Rural District Council to confer powers upon the Company and for other purposes. [29th July 1959.]

WHEREAS the Barnet District Water Company was incorporated by the Barnet District Gas and Water Act 1872 and under the authority of the Barnet District Water Acts and Orders 1872 to 1958 is supplying water within the limits of supply set out in Part I of the Second Schedule to this Act:

And whereas the Herts and Essex Water Company was incorporated by the Herts and Essex Water Act 1953 and under the authority of the Herts and Essex Water Act and Orders 1953 to 1958 is supplying water within the limits of supply set out in Part II of the said Second Schedule:

And whereas the Royston Water Company Limited is a company within the meaning of the Companies Act 1948 and under the authority of the Royston Water Orders 1897 to 1956 is supplying water within the limits of supply set out in Part III of the said Second Schedule:

And whereas the First Garden City Limited is a company within the meaning of the Companies Act 1948 and is supplying water within the limits of supply set out in Part IV of the said Second Schedule:

And whereas the trustees of a settlement by Lady Margaret Hermione Millicent Cobbold dated the fifth day of April nineteen hundred and forty-three under the authority of the Knebworth Water Order 1929 confirmed by the Ministry of Health Provisional Order Confirmation (Knebworth Water) Act 1929 are supplying water within the limits of supply set out in Part V of the said Second Schedule:

And whereas the mayor aldermen and burgesses of the borough of Hertford in the administrative county of Hertford in pursuance of their general powers under the Public Health Act 1936 are supplying water within the limits of supply set out in Part VI of the said Second Schedule:

And whereas the Stevenage Development Corporation under the authority of the Stevenage Development Corporation Water Order 1949 is supplying water within the limits of supply set out in Part VII of the said Second Schedule:

And whereas the councils of the urban districts of Baldock Hitchin Ware and Welwyn Garden City all in the administrative county of Hertford in pursuance of their general powers under the Public Health Act 1936 are supplying water within the respective limits of supply set out in Parts VIII IX X and XI of the said Second Schedule:

And whereas the councils of the rural districts of Braughing Hertford Hitchin Ware and Welwyn all in the administrative county of Hertford in pursuance of their general powers under the Public Health Act 1936 are supplying water within the respective limits of supply set out in Parts XII XIII XIV XV and XVI of the said Second Schedule:

And whereas the limits of supply specified in Part XVII of the said Second Schedule (which contains a comprehensive description of the several limits of supply set out in Parts I to XVI of the said Schedule) would together form a satisfactory unit for water supply purposes enabling the most effective use to be made

of the water resources in the area covered by the said limits of supply and assuring a reliable service supplying at an economic cost the quantity and quality of water required by the consumers in the said area:

And whereas it would be in the public and local interest to incorporate a company as in this Act provided and to transfer to that company the undertakings of the Barnet District Water Company the Herts and Essex Water Company and the Royston Water Company Limited and the water undertakings of the First Garden City Limited the trustees of a settlement by Lady Margaret Hermione Millicent Cobbold the mayor aldermen and burgesses of the borough of Hertford the Stevenage Development Corporation the councils of the urban districts of Baldock Hitchin Ware and Welwyn Garden City and the councils of the rural districts of Braughing Hertford Hitchin Ware and Welwyn as in this Act also provided:

And whereas it is expedient to confer on the said company such powers as are in this Act contained:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the Queen's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

PART I

PRELIMINARY

1. This Act may be cited as the Lee Valley Water Act 1959. Short title.

2. This Act is divided into Parts as follows:—

Act divided
into Parts.

Part I.—Preliminary.

Part II.—Incorporation of Company.

Part III.—Transfer of undertakings.

Part IV.—Finance.

Part V.—Administrative provisions.

Part VI.—Supply of water.

Part VII.—Miscellaneous.

3.—(1) The following enactments (so far as the same are applicable to the purposes and are not inconsistent with the provisions of this Act) are hereby incorporated with this Act (namely):—

Incorporation
of Acts.

(a) the Companies Clauses Consolidation Act 1845 (except the provisions thereof with respect to the conversion of borrowed money into capital and sections 40 145 146 161 and 162 thereof):

PART I
—cont.

Provided that—

(i) section 15 of the said Act of 1845 shall have effect as if for the words “on demand” there were substituted the words “within two months after delivery thereof”;

(ii) section 98 of the said Act of 1845 shall have effect as if after the words “shall be signed by the chairman of such meeting” there were inserted the words “or of the next succeeding meeting”;

(b) the Companies Clauses Act 1863 (except sections 17 to 21 and the provisions thereof which limit the rate of dividend on preference capital and Part IV thereof):

Provided that—

(i) section 22 of the said Act of 1863 shall have effect as if the words “and to the same amount as” were omitted therefrom;

(ii) section 25 of the said Act of 1863 shall have effect as if the words “or the sum of ten thousand pounds whichever of the two last-mentioned sums is the smaller sum” were omitted therefrom; and

(iii) section 31 of the said Act of 1863 shall have effect as if after the words “other than” there were inserted the words “in the case of holders of perpetual debenture stock”.

(2) In the construction of the enactments so incorporated with this Act the expression “the special Act” shall be read as a reference to this Act and the expression “the company” shall mean the Company.

Interpreta-
tion.

4.—(1) In this Act unless there is something in the subject or context repugnant to such construction the several words and expressions to which meanings are assigned by the Acts incorporated herewith have the same respective meanings and—

“the Act of 1945” means the Water Act 1945;

“the Act of 1948” means the Companies Act 1948;

“the additional capital” means the additional capital which the Company are authorised to raise by section 45 (As to raising additional capital) of this Act;

“the Baldock Council” means the Baldock Urban District Council;

“the Barnet Company” means the Barnet District Water Company;

“the Braughing Council” means the Braughing Rural District Council;

“the Company” in this Act and in the enactments set out in Part I of the Fifth Schedule to this Act means the Lee Valley Water Company incorporated by this Act;

“the day of transfer” means the first day of April nineteen hundred and sixty;

“director” means a director of the Company;

“enactment” means any Act whether public general or local or any order made thereunder or any provision in any Act or in any such order;

“five per centum ordinary stock” “five and one-half per centum redeemable preference stock” “four and one-half per centum redeemable preference stock” “four and one-quarter per centum redeemable preference stock” and “four per centum preference stock” mean the respective stocks created by subsection (1) of section 17 (Creation of ordinary and preference capital for purposes of transfer of transferred undertakings) of this Act;

“the Garden City Company” means the First Garden City Limited;

“the Hertford Corporation” means the mayor aldermen and burgesses of the borough of Hertford;

“the Hertford Council” means the Hertford Rural District Council;

“the Herts and Essex Company” means the Herts and Essex Water Company;

“the Hitchin Council” means the Hitchin Urban District Council;

“the Hitchin Rural Council” means the Hitchin Rural District Council;

“the Knebworth undertaker” means the trustees of a settlement by Lady Margaret Hermione Millicent Cobbold dated the fifth day of April nineteen hundred and forty-three;

“land” includes any interest in land;

“the limits of supply” means the limits within which the Company are for the time being authorised to supply water;

“the Minister” means the Minister of Housing and Local Government;

“preference stock” includes the four per centum preference stock and the redeemable preference stock;

“redeemable preference stock” includes the five and one-half per centum redeemable preference stock the four and

PART I
—cont.

one-half per centum redeemable preference stock and the four and one-quarter per centum redeemable preference stock;

“the Royston Company” means the Royston Water Company Limited;

“the secretary” means the secretary of the Company for the time being;

“shareholder” includes stockholder and “share capital” shall be construed accordingly;

“the sixteen undertakers” means the three companies the Garden City Company the Knebworth undertaker the Hertford Corporation the Stevenage Corporation the Baldock Council the Hitchin Council the Ware Council the Welwyn Garden City Council the Braughing Council the Hertford Council the Hitchin Rural Council the Ware Rural Council and the Welwyn Council;

“the Stevenage Corporation” means the Stevenage Development Corporation;

“the three companies” means the Barnet Company the Herts and Essex Company and the Royston Company and “specified company” means any one of those companies;

“transferred undertaking” means in relation to each of the sixteen undertakers the undertaking of that undertaker which is by this Act transferred to the Company and “the transferred undertakings” means all those undertakings;

“transferring local authority” means in relation to the transferred undertakings of the Hertford Corporation the Stevenage Corporation the Baldock Council the Hitchin Council the Ware Council the Welwyn Garden City Council the Braughing Council the Hertford Council the Hitchin Rural Council the Ware Rural Council and the Welwyn Council the corporation or council to whom that undertaking belongs;

“transferring undertaker” means any one of the sixteen undertakers;

“the undertaking” means the undertaking of the Company for the time being authorised;

“the Ware Council” means the Ware Urban District Council;

“the Ware Rural Council” means the Ware Rural District Council;

“ the Welwyn Council ” means the Welwyn Rural District Council;

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—cont.

“ the Welwyn Garden City Council ” means the Welwyn Garden City Urban District Council.

(2) References in this Act to any other enactment shall be construed as references to that enactment as amended by any other enactment including this Act.

PART II

INCORPORATION OF COMPANY

5. Randolph Edward Docwra Anthony Hobart Farquhar Patrick William Pilkington Gee Neil Brodie Henderson Ernest Stace Godfrey Midgley Chassereau Taylor John Francis Todhunter and all other persons who have already subscribed to or shall hereafter become proprietors in the undertaking and their executors administrators successors and assigns respectively shall be and are hereby united into a company for the purposes hereinafter mentioned and for those purposes shall be and are hereby incorporated by the name of the Lee Valley Water Company and by that name shall be a body corporate with perpetual succession and a common seal and with power to take hold and dispose of lands and other property for the purposes of this Act and of the undertaking.

Incorporation of
Company.

6. The Company shall be established—

- (a) to acquire the undertakings of the sixteen undertakers;
- (b) to procure a supply of water and to distribute it within the limits of supply;
- (c) to do all things necessary for connected with incidental to or consequent upon the powers rights duties capacities and liabilities for the time being exercisable by or attaching to the Company as a water company;
- (d) to carry out the other purposes of this Act.

General
purposes of
Company.

7.—(1) The number of directors shall be eight but the Company may vary the number provided that the number be not at any time more than eight nor less than four.

As to directors.

(2) The continuing directors may act notwithstanding any vacancy in the number of directors but so that if at any time the number of directors holding office shall be less than the minimum number prescribed by this Act the directors shall not except for the purpose of filling vacancies and allotting shares to any proposed director or directors act so long as the number is below such minimum.

(3) The quorum of a meeting of directors shall be three.

PART II
—cont.

(4) The qualification of a director shall be the possession in his own right of ordinary stock or shares of the Company to a nominal amount of not less than one hundred pounds:

Provided that until such time as the issue of the ordinary and preference stock of the Company pursuant to section 18 (Issue of ordinary and preference capital to the Barnet Company and the Herts and Essex Company) of this Act has been completed the directors of the Company shall be deemed to be duly qualified if they hold in their respective names and in their own right certificates of ordinary stock of the Barnet Company or the Herts and Essex Company to a nominal amount of not less than one hundred pounds.

First and
subsequent
directors.

8.—(1) Randolph Edward Docwra Anthony Hobart Farquhar Patrick William Pilkington Gee Neil Brodie Henderson Ernest Stace Godfrey Midgley Chassereau Taylor and John Francis Todhunter shall (subject to compliance with subsection (4) of section 7 (As to directors) of this Act) be the first directors of the Company and continue in office until the first ordinary meeting of the Company held after the passing of this Act.

(2) At that meeting the directors appointed by this Act shall retire from office and the shareholders present in person or by proxy may either re-elect the directors so retiring (if they continue qualified) or may elect new directors or a new director to fill the place of the directors or director not so re-elected and at the first ordinary meeting to be held in every subsequent year the shareholders present in person or by proxy shall (subject to the power hereinbefore contained of varying the number of directors) elect persons to fill the places of the directors then retiring from office agreeably to the provisions of the Companies Clauses Consolidation Act 1845 and the several persons elected at any such meeting being neither removed nor disqualified nor having died or resigned shall continue to be directors until such others are duly elected in their stead.

As to
appointment
of managing
director.

9.—(1) The directors may appoint one of their body to be managing director of the Company either for a fixed term or without any limitation of time and in either case may remove or dismiss him from office and appoint another in his place.

(2) A managing director shall not while holding that office be subject to retirement by rotation and shall not be taken into account in determining the rotation of retirement of the directors but if he ceases to hold the office of director from any other cause he shall ipso facto immediately cease to be a managing director.

(3) A director so appointed to the office of managing director shall receive such remuneration (either in addition to or in lieu of any remuneration as a director) as the directors may determine.

(4) The directors may entrust to and confer upon a managing director such of the powers exercisable by the directors subject to such conditions as they may think fit and may from time to time revoke withdraw alter or vary all or some of such powers.

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10.—(1) Notwithstanding anything in the Companies Clauses Consolidation Act 1845 a director shall not be disqualified by his office from—

Directors not to be disqualified from holding offices of profit or entering into contracts.

(a) holding any office or place of trust or profit (other than that of auditor) under the Company; or

(b) being interested in any contract with the Company on his own behalf or as a member of any other company or any corporation or partnership:

Provided that if a director or any company corporation or partnership of which he is a member be or become interested in any contract with the Company (whether such interest shall arise before or after his appointment as a director) the nature of his interest or of the interest of such company corporation or partnership in the contract shall be disclosed by him at the meeting of the directors at which the contract is first taken into consideration if his or their interest then exists or in any other case at the first meeting of the directors after the acquisition of his or their interest or after his appointment.

For the purposes of the proviso to this subsection a general notice in writing given to the directors by one of them to the effect that he is a member of any company corporation or partnership named in the notice and is to be regarded as interested in any contract which may after the date of the notice be made with that company corporation or partnership shall be deemed to be a sufficient declaration of interest in relation to any contract so made.

(2) No director shall as a director take part in the consideration or discussion of or vote on any question with respect to any contract in which he is interested and if he does so vote his vote shall not be counted:

Provided that—

(a) this subsection shall not apply to—

(i) any contract or arrangement with any other company in which he is interested only as an officer of the company or as holder of stock shares or other securities;

(ii) a contract by or on behalf of the Company to give to any director security by way of indemnity in respect of money lent by him to the Company or obligations undertaken by him for the benefit of the Company;

PART II
—cont.

(iii) the exercise of the powers conferred upon the directors by section 78 of the Third Schedule to the Act of 1945 notwithstanding that the director is or may be interested therein;

(b) for the purpose of determining whether there is a quorum a director shall be treated as being present at a meeting notwithstanding that under the foregoing provisions of this subsection he cannot vote.

(3) A director who by reason of the foregoing provisions of this section is not disqualified from holding office shall not be liable to account to the Company for any profit realised as a result of holding any such office or place of trust or profit as is mentioned in paragraph (a) of subsection (1) of this section or of any such contract as is mentioned in paragraph (b) of the said subsection.

Vacation of
office of
director.

11. If any director shall be made bankrupt or shall go to reside abroad for a period longer than twelve consecutive months or shall become of unsound mind or otherwise incompetent to act as a director or shall neglect to attend the meetings of directors for a period of twelve consecutive months (unless such neglect be occasioned by any reasonable cause allowed by the directors) the office of such director shall become vacant and thenceforth he shall cease from voting or acting as a director.

Notice of
candidature
of or
opposition to
re-election of
director.

12.—(1) Except in the case of a director retiring by rotation and offering himself or being proposed for re-election no person shall be capable of being elected a director at a general meeting of the Company unless notice in writing that such person intends to offer himself or will be proposed for the office of director shall have been given to the secretary or left at the principal office of the Company twenty-eight days at least before the day of election and the secretary shall during such twenty-eight days and on the day of election keep fixed in some conspicuous place in such office a copy of every such notice so delivered.

(2) In the case of a retiring director notice of opposition to his re-election shall be given in like manner fourteen days at least before the day of election and the secretary shall during such fourteen days and on the day of election keep fixed in some conspicuous place in such office a copy of every such notice so delivered.

(3) No person shall be eligible to be elected a director at any general meeting of the Company unless he shall then hold the qualifying amount of stock or shares.

Exercise of
borrowing
powers by
directors.

13. Notwithstanding anything in any enactment from time to time relating to the Company the directors may by virtue of this section and without further or other sanction or authority exercise any powers for the time being vested in the Company

of borrowing and reborrowing on mortgage or temporary loan or otherwise and of creating and issuing mortgages or debenture stock and of raising money by the issue of notes or bonds.

PART II
—cont.

14. In addition to the powers which the directors may exercise under the Companies Clauses Consolidation Act 1845 they may determine the remuneration of the secretary.

Directors may determine remuneration of secretary.

PART III

TRANSFER OF UNDERTAKINGS

15.—(1) On the day of transfer—

Transfer of undertakings.

(a) the transferred undertakings (except so far as they consist of chattels capable of passing by delivery) shall by virtue of this Act be transferred to and vest in the Company; and

(b) each transferring undertaker shall deliver to the Company all chattels which form part of the transferred undertaking and are capable of passing by delivery.

(2) For the purposes of subsection (1) of this section the transferred undertakings shall comprise—

(a) in the case of a specified company the undertaking of that company as existing on the day of transfer which shall include—

(i) all lands buildings waterworks sources of water supply machinery mains pipes meters plant spare parts tools apparatus vehicles stocks stores and furniture;

(ii) all investments securities book debts consumers' deposits bank balances and cash;

(iii) the benefit of all contracts in force on the day of transfer but subject to any obligations thereunder;

(iv) all registers books of account maps plans specifications engineering reports and other documents;

(v) all rights powers easements interests and privileges; and

(vi) all other real and personal property assets and effects then vested in or belonging to the specified company or to which the specified company shall then be entitled;

but shall not include—

(vii) the directors' minute books and all books and papers relating exclusively to the shareholders in and the constitution of the specified company which it may be necessary for the specified company to retain for the purpose of winding up;

(viii) any liabilities and obligations in respect of share capital and moneys raised on mortgage other

PART III
—cont.

than by the creation and issue of the debenture stock and debentures referred to in section 24 (As to debentures and debenture stock of the Barnet Company and the Herts and Essex Company) of this Act; or

(ix) such a sum of money as is required to pay any dividends (less income tax) declared by the directors of the specified company in pursuance of section 26 (Payment of final dividend and interest) of this Act and not paid before the day of transfer and any interest (less income tax) on any debentures debenture stock or mortgages which the directors of the specified company may pay before the day of transfer in pursuance of the said section 26 but which has not then been paid;

(b) in the case of the Knebworth undertaker the water undertaking authorised by the Knebworth Water Order 1929 confirmed by the Ministry of Health Provisional Order Confirmation (Knebworth Water) Act 1929 as existing on the day of transfer which shall include—

(i) all lands buildings waterworks sources of water supply machinery mains pipes meters plant spare parts tools apparatus vehicles stocks stores and furniture;

(ii) the benefit of all contracts in force on the day of transfer in respect of the said undertaking but subject to any obligations thereunder;

(iii) all registers books of account maps plans specifications engineering reports and other documents relating solely to the said undertaking;

(iv) all rights powers easements interests and privileges; and

(v) all other real and personal property assets and effects then held or used for or in relation to the water undertaking of the Knebworth undertaker;

but shall not include—

(vi) any funds money or securities for money of the Knebworth undertaker whether invested or in hand (other than money deposited with the undertaker in connection with the said undertaking);

(vii) any liabilities or obligations in respect of any sum borrowed by the undertaker (including a bank overdraft); or

(viii) any premises which are in use partly as the offices of the water undertaking of the Knebworth undertaker;

(c) in the case of a transferring local authority and the Garden City Company the water undertaking of that

authority or company as existing on the day of transfer which shall include—

PART III
—cont.

(i) all lands buildings waterworks sources of water supply machinery mains pipes meters plant spare parts tools apparatus vehicles stocks stores and furniture;

(ii) the benefit of all contracts in force on the day of transfer in respect of the said undertaking but subject to any obligations thereunder;

(iii) all registers books of account maps plans specifications engineering reports and other documents relating solely to the said undertaking;

(iv) all rights powers easements interests and privileges; and

(v) all other real and personal property assets and effects then held or used for or in relation to the water undertaking of that authority or company;

but shall not include—

(vi) any funds money or securities for money of that local authority or company whether invested or in hand (other than money deposited with the authority or company in connection with the said undertaking);

(vii) any liabilities or obligations in respect of any sum borrowed in connection with the said undertaking (including a bank overdraft);

(viii) any premises which are in use partly as the offices of the water department of the local authority or company; or

(ix) in the case of the Stevenage Corporation the liabilities specified in paragraphs (c) and (d) of clause 3 of the agreement set out in the First Schedule to the Stevenage Development Corporation Water Order 1949.

(3) The books and papers referred to in sub-paragraph (vii) of paragraph (a) of subsection (2) of this section shall be delivered to the Company on the completion of the winding up of the specified company to whom they belong.

(4) For the purposes of paragraph (c) of subsection (2) of this section the water undertakings of the Braughing Council and of the Hitchin Rural Council shall include the respective interest of each of the said councils in and their respective share of the assets of the Braughing and Hitchin Rural District Councils Joint Water Committee.

16.—(1) Between the passing of this Act and the day of transfer a transferred undertaking shall be carried on by the transferring undertaker to whom it belongs with due regard to the interests of the Company as prospective owners of that undertaking. As to carrying on of transferred undertakings and supply of information.

PART III
—cont.

(2) For the purpose of facilitating the transfer of the transferred undertakings to the Company each of the sixteen undertakers shall within one month after receiving a written request from the secretary supply to him such information relating to the transferred undertaking of that transferring undertaker and to the property to be transferred as he may reasonably require.

Creation of
ordinary
and preference
capital for
purposes of
transfer of
transferred
undertakings.

17.—(1) As on the day of transfer there shall be created by virtue of this section and without any other requisite—

- (a) two million fifty-six thousand eight hundred and thirty-nine pounds of ordinary stock of the Company entitled to a maximum dividend of five per centum per annum or such less amount as shall be necessary to give effect to the provisions of this Act with respect to the transfer of the transferred undertakings of the Barnet Company and the Herts and Essex Company;
- (b) four hundred and seventy-five thousand pounds of preference stock of the Company entitled to a preference dividend at the rate of five and one-half per centum per annum and redeemable at par by the Company on the thirtieth day of September nineteen hundred and seventy-two;
- (c) two hundred thousand pounds of preference stock of the Company entitled to a preference dividend at the rate of four and one-half per centum per annum and redeemable at par by the Company on the thirty-first day of December nineteen hundred and seventy-eight;
- (d) one hundred thousand pounds of preference stock of the Company entitled to a preference dividend at the rate of four and one-quarter per centum per annum and redeemable at par by the Company on the thirty-first day of December nineteen hundred and seventy-five or earlier at the Company's option on three months' notice to the holder given by the Company after the first day of January nineteen hundred and seventy-four;
- (e) four hundred and forty-two thousand seven hundred and twenty-eight pounds of preference stock of the Company entitled to a preference dividend at the rate of four per centum per annum or such less amount as shall be necessary to give effect to the provisions of this Act with respect to the transfer of the transferred undertakings of the Barnet Company and the Herts and Essex Company.

(2) As on the day of transfer or as soon thereafter as the sum payable by the Company as consideration for the transfer of each of the transferred undertakings other than the transferred undertakings of the Barnet Company and the Herts and Essex Company has been agreed or determined in accordance with

this Act for the purpose of paying the said considerations in whole or in part the directors shall be entitled to create by virtue of this section and without any other requisite such nominal amounts of ordinary stock or shares and preference stock or shares as will after taking into account premiums and discounts (if any) which may be obtained or allowed on the issue thereof together produce an amount not exceeding the sum payable by the Company as consideration for the transfer of that transferred undertaking.

PART III
—cont.

(3) The preference stock created by this section shall when issued be deemed to have been issued under section 13 of the Companies Clauses Act 1863 and sections 14 and 15 of that Act shall apply accordingly.

18.—(1) In consideration of the transfer and delivery to and vesting in the Company of the transferred undertakings of the Barnet Company and the Herts and Essex Company the Company shall subject to the provisions of section 27 (Issue of certificates) of this Act as soon as is reasonably practicable after the day of transfer divide the ordinary stock and the preference stock created by subsection (1) of section 17 (Creation of ordinary and preference capital for purposes of transfer of transferred undertakings) of this Act among the several persons who immediately before the day of transfer were registered as the holders of ordinary and preference stock in the capital of the said companies as follows:—

Issue of
ordinary and
preference
capital to
the Barnet
Company and
the Herts and
Essex
Company.

(a) to each holder of ordinary stock in the capital of the Barnet Company entitled to a maximum dividend of seven per centum per annum—

for each one pound of such stock five per centum ordinary stock to the nominal amount of one pound eight shillings;

(b) to each holder of preference stock in the capital of the Barnet Company entitled to a dividend of four and one-half per centum per annum—

for each one pound of such stock four per centum preference stock to the nominal amount of one pound two shillings and sixpence;

(c) to each holder of preference stock in the capital of the Barnet Company entitled to a dividend of four per centum per annum—

for each one pound of such stock four per centum preference stock to the nominal amount of one pound;

(d) to each holder of ordinary stock in the capital of the Herts and Essex Company entitled to a maximum dividend of ten per centum per annum—

for each one pound of such stock five per centum ordinary stock to the nominal amount of one pound twelve shillings and sixpence;

PART III
—cont.

- (e) to each holder of ordinary stock in the capital of the Herts and Essex Company entitled to a maximum dividend of seven per centum per annum—
for each one pound of such stock five per centum ordinary stock to the nominal amount of one pound eight shillings;
- (f) to each holder of ordinary stock in the capital of the Herts and Essex Company entitled to a maximum dividend of five per centum per annum—
for each one pound of such stock five per centum ordinary stock to the nominal amount of one pound;
- (g) to each holder of preference stock in the capital of the Herts and Essex Company entitled to a dividend of five and one-half per centum per annum and redeemable on the thirtieth day of September nineteen hundred and seventy-two—
for each one pound of such stock five and one-half per centum redeemable preference stock to the nominal amount of one pound;
- (h) to each holder of preference stock in the capital of the Herts and Essex Company entitled to a dividend of four and one-half per centum per annum and redeemable on the thirty-first day of December nineteen hundred and seventy-eight—
for each one pound of such stock four and one-half per centum redeemable preference stock to the nominal amount of one pound;
- (i) to each holder of preference stock in the capital of the Herts and Essex Company entitled to a dividend of four and one-quarter per centum per annum and redeemable on the thirty-first day of December nineteen hundred and seventy-five or earlier at the Company's option on three months' notice to the holder given by the Company after the first day of January nineteen hundred and seventy-four—
for each one pound of such stock four and one-quarter per centum redeemable preference stock to the nominal amount of one pound;
- (j) to each holder of preference stock in the capital of the Herts and Essex Company entitled to a dividend of five per centum per annum—
for each one pound of such stock four per centum preference stock to the nominal amount of one pound five shillings.

(2) In every case where the holder of stock of the Barnet Company or of the Herts and Essex Company would under the

provisions of paragraphs (a) (b) (d) (e) or (j) of subsection (1) of this section be entitled to be registered as the holder of an amount of five per centum ordinary stock or four per centum preference stock including any fractional part of one pound the Company instead of registering such holder and issuing to him a certificate as holder of an amount of five per centum ordinary stock or four per centum preference stock (including such fractional part) shall pay as soon as is reasonably practicable after the day of transfer to such holder a sum in cash equal to the nominal value of that fractional part and shall register the holder and issue a certificate made out in his name as the holder of the amount of five per centum ordinary stock or four per centum preference stock (excluding the fractional part).

PART III
—cont.

19.—(1) In consideration of the transfer and delivery to and vesting in the Company of the transferred undertakings of the Royston Company the Garden City Company and the Knebworth undertaker the Company shall on the day of transfer or as soon thereafter as the respective amount to be paid has been ascertained pay to the Royston Company the Garden City Company and the Knebworth undertaker such sum as may be agreed between the Company and the Royston Company the Garden City Company or the Knebworth undertaker respectively or as failing agreement shall be determined by arbitration to be the amount which that transferred undertaking might have been expected to realise if it were sold as a going concern on the day of transfer in the open market by a willing seller to a willing buyer.

Consideration payable to the Royston Company the Garden City Company and the Knebworth undertaker.

(2) The sum to be paid to the Royston Company the Garden City Company or the Knebworth undertaker under subsection (1) of this section may by agreement between the Company and the Royston Company the Garden City Company or the Knebworth undertaker (as the case may be) be satisfied in whole or in part by the issue by the Company to the Royston Company the Garden City Company or the Knebworth undertaker of stock in the capital of the Company created under subsection (2) of section 17 (Creation of ordinary and preference capital for purposes of transfer of transferred undertakings) of this Act.

20. In consideration of the transfer and delivery to and vesting in the Company of the transferred undertakings of the transferring local authorities (other than the Stevenage Corporation) the Company shall on the day of transfer or as soon thereafter as the respective amount to be paid has been ascertained pay to each of the transferring local authorities (other than the Stevenage Corporation) such sum as may be agreed between the Company and the transferring local authority or as failing agreement shall be determined by arbitration to be the amount which the transferred undertaking of the transferring local

Consideration payable to transferring local authorities (other than the Stevenage Corporation).

PART III
—cont.

authority might have been expected to realise if it were sold as a going concern on the day of transfer in the open market by a willing seller to a willing buyer:

Provided that such sum shall not be less than—

- (a) the amount of the loans raised by the transferring local authority for the purposes of the transferred undertaking and outstanding on the day of transfer less the amount of any sinking funds established for the redemption of those loans and less the amount of the capitalised value as on the day of transfer of the annual contributions payable on or after that day to the transferring local authority under the Rural Water Supplies and Sewerage Acts 1944 to 1955 in respect of the transferred undertaking;
- (b) the amount of any capital expenditure incurred by the transferring local authority for the purposes of the transferred undertaking not defrayed from loan moneys for which statutory borrowing powers had been or could have been conferred and it is anticipated would but for the transfer have been exercised; and
- (c) an amount equal to the then current value of all expendable stores which immediately before the day of transfer were held on revenue account by the transferring local authority in respect of the transferred undertaking and which by this Act are transferred to the Company.

Consideration payable to the Stevenage Corporation.

21.—(1) In consideration of the transfer and delivery to and vesting in the Company of the Stevenage undertaking the Company shall on the day of transfer or so soon as the amount to be paid has been ascertained pay to the Stevenage Corporation the sum to be certified by the chief finance officer of the Stevenage Corporation and the auditors of the Stevenage Corporation (and approved by the auditors of the Company) as being equal to the total of the capital expenditure of the Stevenage Corporation on the Stevenage undertaking up to the day of transfer less the amount provided by the Stevenage Corporation for depreciation up to the day of transfer (calculated on the basis hitherto applied) together with either the sum of one hundred and seventy-four thousand pounds or the accumulated deficiencies on revenue account in respect of the Stevenage undertaking up to the day of transfer whichever is the less.

(2) In this section “Stevenage undertaking” means the transferred undertaking of the Stevenage Corporation.

Payment of consideration by instalments.

22. The Company and a transferring local authority may agree that instead of paying as consideration the sum ascertained in accordance with section 20 (Consideration payable to transferring local authorities (other than the Stevenage Corporation)) or section 21 (Consideration payable to the Stevenage Corporation)

of this Act as the case may be or any part of that sum the Company shall for such period as may be agreed make to the transferring local authority such payments as may be equivalent to the said sum or such part thereof.

PART III
—cont.

23. The consideration to be paid by the Company in pursuance of this Act for the transfer of a transferred undertaking other than the undertakings of the Barnet Company and the Herts and Essex Company shall unless otherwise agreed between the Company and the transferring undertaker bear interest (less income tax) from the day of transfer until such time as the consideration has been satisfied by payment or by the issue of stock or shares at a rate per annum equivalent to the bank rate prevailing from time to time. Payment of interest.

24. The debenture stock issued by the Barnet Company and the Herts and Essex Company and the debentures issued by the Herts and Essex Company outstanding at the day of transfer shall as from that date become and be respectively debenture stock or debentures of the Company charged upon the undertaking in all respects as if such debenture stock and debentures had been issued by the Company and as if the Company had been named therein instead of the Barnet Company or the Herts and Essex Company. As to debentures and debenture stock of the Barnet Company and the Herts and Essex Company.

25. The balances standing in the reserve and contingency funds of the Barnet Company and the Herts and Essex Company immediately before the day of transfer shall be carried to the credit of the contingency fund of the Company. Transfers to contingency fund.

26.—(1) (a) The directors of a specified company may without first obtaining the sanction of their company in general meeting declare and pay out of profits available for the purpose in respect of the period ending on the day immediately preceding the day of transfer (being a period of not more than fifteen months) dividends (less income tax) at such rates per centum per annum as together with the rate of any dividend already declared in respect of the said period will not for any period of twelve months exceed— Payment of final dividend and interest.

(i) in the case of preference stock or shares of the specified company the preferential rate of dividend attached thereto;

(ii) in the case of ordinary stock or shares of the specified company the maximum rate of dividend attached thereto.

(b) Any dividends authorised by the foregoing paragraph of this subsection may be declared before the day of transfer and paid either before or after that date.

(2) The directors of a specified company may also pay interest (less income tax) at the appropriate rate or rates on any debentures

PART III
—cont.

debenture stock or mortgages of that company in respect of any period ending on the day immediately preceding the day of transfer for which interest has not previously been paid notwithstanding that payment of such interest is not due until after the day of transfer.

Issue of
certificates.

27.—(1) For the purpose of facilitating the distribution of the ordinary stock and the preference stock of the Company and sums of cash (if any) among the stockholders of the Barnet Company and the Herts and Essex Company both the companies shall not less than fourteen days before the day of transfer deliver to the secretary a statement containing the names and addresses of such holders in so far as applicable to that company and the amount of substituted stock of which each such holder is to be registered as the holder and the Company shall issue as soon as reasonably practicable after the day of transfer in exchange for the existing certificates to the respective holders thereof free of charge certificates of substituted stock to the amount to which those holders are by this Act respectively entitled but no holder shall be entitled to a new certificate or certificates (as the case may be) or to receive any sum of cash as aforesaid or to receive any amount by way of interest or dividend on the amount of substituted stock to which he would otherwise be entitled until he shall have delivered up to the Company to be cancelled the existing certificate for which such new certificate or certificates is or are to be substituted or shall have proved to the reasonable satisfaction of the directors the loss or destruction of such existing certificate and shall have given such guarantee or indemnity in respect thereof as the directors may require:

Provided that subject to the provisions of this section until the issue of a new certificate or certificates (as the case may be) the stockholders of the Barnet Company and the Herts and Essex Company shall according to the amount of substituted stock to be issued by virtue of this Act in respect of their holdings have and possess the same rights and privileges as if such existing certificates were certificates for the amount of substituted stock so to be issued.

(2) In the event of any stockholder of the Barnet Company or the Herts and Essex Company failing to deliver to the Company the existing certificate or proving to the reasonable satisfaction of the directors that it has been lost or destroyed and giving such guarantee or indemnity as aforesaid the Company shall lodge the certificate for the amount of substituted stock to which he is entitled under the provisions of this Act in court as if the said amount belonged to a trust of which they were trustees and on lodgment into court as aforesaid the Company shall cause a notice to be sent by post in a registered letter to such holder stating that such amount has been placed to his credit as aforesaid.

(3) (a) In this section "substituted stock" means the amount of ordinary stock or preference stock to which a stockholder of the Barnet Company or of the Herts and Essex Company is entitled under the provisions of this Act.

PART III
—cont.

(b) References in this and the next following section to lodging a certificate in court shall in relation to any sum of cash to be paid be construed as references to paying into court and "lodgment" shall be construed accordingly.

28. The receipt in writing of a holder of share capital of the Barnet Company or the Herts and Essex Company for any consideration. certificate for ordinary stock or preference stock (as the case may be) delivered to him and for any sum of cash paid to him and the receipt in writing of a director of the Garden City Company or the Royston Company or (if a liquidator has been duly appointed) of the liquidator for the amount of any consideration paid to the director or liquidator shall effectually discharge the Company from the amount of share capital or cash (as the case may be) acknowledged in the receipt to have been received and from being bound to see to the application thereof and from being answerable or accountable for the loss misapplication or non-application thereof and if from any cause the Company are unable to obtain any such receipt they may lodge the certificate and any sum of cash in the Supreme Court in accordance with rules made under section 146 of the Supreme Court of Judicature (Consolidation) Act 1925 and a certificate given in accordance with those rules stating that the certificate and when payable any sum of cash has been so lodged shall have the same effect for the purposes of this section as a receipt of a holder of share capital of the Barnet Company or the Herts and Essex Company or of a director of the Garden City Company or a director or liquidator of the Royston Company as the case may be.

29.—(1) Subject to the provisions of this Act the ordinary stock and the preference stock issued and sums of cash (if any) paid to the holders of share capital of the Barnet Company or the Herts and Essex Company in pursuance of this Act shall be held on the same rights on the same trusts and subject to the same powers provisions charges and liabilities as those in or subject to which the share capital of the Barnet Company or the Herts and Essex Company was held immediately before the day of transfer and so as to give effect to and not to revoke any deed will or other instrument or testamentary or other disposition disposing of or affecting the said share capital and every such deed will instrument or disposition shall take effect with reference to the whole or a proportionate part (as the case may be) of the ordinary stock or preference stock issued or (in the case of any sum of cash) paid as aforesaid.

Rights of
holders of
substituted
securities.

PART III
—cont.

(2) Any bequest of or any covenant or provision of any deed will or other instrument relating to any specific amount of share capital of the Barnet Company or the Herts and Essex Company shall be held to apply to the ordinary stock or the preference stock or any sum of cash which under the provisions of this Act is or are issued or paid as aforesaid in substitution for such specific amount of share capital of the Barnet Company or the Herts and Essex Company.

(3) Trustees executors and administrators and all other persons in any representative or fiduciary capacity and persons under disability may and shall accept the ordinary stock or the preference stock issued to them and any sum of cash paid to them in pursuance of this Act and may hold dispose of or otherwise deal with the ordinary stock or the preference stock and any sum of cash in all respects as they might have held disposed of or otherwise dealt with the amount of share capital of the Barnet Company or the Herts and Essex Company for which the ordinary stock the preference stock or sums of cash is or are substituted.

As to out-
standing
transfers and
closing of
transfer books.

30.—(1) All transfers or other dispositions of any amounts of share capital of the Barnet Company or the Herts and Essex Company made but not registered before the issue to the holders thereof of the certificates for ordinary stock or preference stock to which those holders are respectively entitled under the foregoing provisions of this Act shall notwithstanding the provisions of this Act be valid and have due effect given to them respectively as transfers or dispositions of the respective amounts of ordinary stock or preference stock which represent the amounts of share capital of the Barnet Company or the Herts and Essex Company thereby expressed to be transferred or disposed of and are or may be substituted therefor under the provisions of this Act notwithstanding that the instrument transferring or disposing thereof may describe them as amounts of share capital of the Barnet Company or the Herts and Essex Company.

(2) Notwithstanding anything in any enactment relating to the Barnet Company or the Herts and Essex Company the directors of the Barnet Company and the Herts and Essex Company shall without giving any notice thereof finally close the register of transfers of the respective company from the twenty-first day immediately preceding the day of transfer.

Receipt for
stock issued
to persons
not sui juris.

31. If any amount of ordinary stock or preference stock is to be issued to a holder of share capital of the Barnet Company or the Herts and Essex Company being a minor idiot or lunatic the receipt of his guardian or receiver or the committee of his estate (as the case may be) shall be a sufficient discharge to the Company.

32. The Company shall take over bear pay and discharge and indemnify a specified company against all debts liabilities and outgoings in respect of the transferred undertaking of that company which are outstanding on the day of transfer (other than in the case of the Royston Company liabilities in respect of moneys raised on mortgage) and subject as aforesaid the Company shall observe and perform all obligations attaching to the specified company at the said day in respect of the transferred undertaking of that company and shall indemnify that company against any claim or demand in respect thereof.

PART III
—cont.

Transfer of liabilities of three companies.

33.—(1) A transferring local authority the Garden City Company and the Knebworth undertaker shall bear pay and discharge all debts liabilities and outgoings which shall have become payable by them before or accrued due from them up to the day of transfer in respect of the transferred undertaking of that authority company or undertaker.

Liabilities of transferring local authorities Garden City Company and Knebworth undertaker.

(2) The Company shall take over pay and discharge all debts liabilities and outgoings of a transferring local authority of the Garden City Company and of the Knebworth undertaker (other than liabilities which by subsection (2) of section 15 (Transfer of undertakings) of this Act are not included within the transferred undertakings) which shall have become payable or accrued due on and after the day of transfer in respect of the transferred undertaking of that authority company or undertaker.

34. All rents water rates and charges and other sums and debts due and payable or accruing due and payable to—

Collection of outstanding debts in respect of transferred undertakings.

(a) a specified company at the day of transfer shall be payable to and may be collected recovered and enforced by the Company in the same manner and with and by the same benefits and processes as those with and by which the specified company might have collected recovered and enforced them (as the case may be) if this Act had not been passed and shall belong to the Company for their own benefit;

(b) a transferring local authority the Garden City Company or the Knebworth undertaker in connection with the transferred undertaking of that authority company or undertaker shall notwithstanding anything in this Act or the transfer to the Company of the said undertaking pursuant to this Act continue to be due and payable or accruing due and payable and save as may be otherwise agreed between the transferring local authority the Garden City Company or the Knebworth undertaker and the Company may be collected and recovered—

(i) by the transferring local authority the Garden City Company or the Knebworth undertaker if they

PART III
—cont.

shall have become due and payable on or before the day of transfer; and

(ii) by the Company if they have become due and payable after the day of transfer.

Apportion-
ment of
certain
liabilities
and charges.

35. For the purpose of giving effect to section 33 (Liabilities of transferring local authorities Garden City Company and Knebworth undertaker) and section 34 (Collection of outstanding debts in respect of transferred undertakings) of this Act any debts liabilities outgoings rates rents charges and other sums of money shall when necessary be apportioned between the transferring undertaker and the Company by agreement or failing agreement by arbitration.

Actions etc.
not to abate
and penalties
to be
recoverable.

36.—(1) Any action arbitration or proceeding and any cause of action arbitration or proceeding which shall at the day of transfer be pending or existing by or against or in favour of a specified company shall not abate or be discontinued or be in any wise prejudicially affected by reason of the transfer to and vesting in the Company of the transferred undertaking of that company or of anything in this Act but may be continued prosecuted and enforced by or against or in favour of the Company as and when it might have been continued prosecuted and enforced by against or in favour of the specified company if this Act had not been passed but not further or otherwise.

(2) Any action arbitration or proceeding and any cause of action arbitration or proceeding which shall at the day of transfer be pending or existing by or against or in favour of a transferring local authority the Garden City Company or the Knebworth undertaker shall not abate or be discontinued or in anywise prejudicially affected by reason of the transfer to and vesting in the Company of the transferred undertaking of that authority company or undertaker but may be continued prosecuted and enforced by or against or in favour of the transferring local authority the Garden City Company or the Knebworth undertaker as if the transfer of the transferred undertaking of that authority company or undertaker had not been made and all penalties incurred by reason of any offence against the provisions of any regulations of that authority company or undertaker before such transfer may be sued for and all offences committed against such provisions before the said transfer may be prosecuted in such or the like manner to all intents and purposes as such penalties might have been sued for or such offences prosecuted if the transfer had not taken place and all rates rents charges and other sums payable to the transferring local authority the Garden City Company or the Knebworth undertaker on or before the day of transfer may be

sued for and recovered by that authority company or undertaker in the same manner in all respects as they might have been sued for and recovered if this Act had not been passed.

PART III
—cont.

37. Subject to the provisions of this Act all contracts agree- Saving of
ments conveyances deeds leases licences and other instruments contracts.
affecting a specified company or (so far as they relate to the
transferred undertaking) affecting a transferring local authority
the Garden City Company or the Knebworth undertaker and in
force at the day of transfer shall as from that day be binding
and of full force and effect against or in favour of the Company
as fully and effectually as if instead of the specified company the
transferring local authority the Garden City Company or the
Knebworth undertaker the Company had been a party thereto
or bound thereby or entitled to the benefit thereof but nothing
in this Act or done thereunder shall prejudice or affect the right
of the Company to terminate any such contract or agreement at
such time and in such manner as it might have been terminated if
this Act had not been passed.

38.—(1) All books and documents which if this Act had not Books etc.
been passed would have been evidence in respect of any matter to remain
for or against a transferring undertaker in respect of the transferred evidence.
undertaking of that undertaker shall on and after the day of
transfer be admitted in evidence in respect of the same or like
matter for or against the Company.

(2) All officers and persons who at the day of transfer have in
their possession or under their control any books documents
papers money or effects forming part of a transferred undertaking
or relating exclusively thereto or to which a transferring undertaker
would but for the transfer of the transferred undertaking to
the Company have been entitled shall be liable to account for and
deliver them up to the Company or to such person as the Company
may appoint to receive them and shall be subject to the same
consequences on refusal or neglect as if they had been appointed
by and become possessed thereof for the Company.

(3) The Company shall be entitled free of charge to have
access to and take copies of all books documents and papers
relating partly to the transferred undertaking of a transferring
local authority the Garden City Company or the Knebworth
undertaker which after the day of transfer are retained by that
authority company or undertaker as the case may be.

39. As soon as reasonably practicable after the day of transfer Compensation
the Company shall as compensation for loss of office— to directors
and auditors.

(a) pay to each director of the Royston Company who is in
office as such immediately before the day of transfer and

PART III
—cont.

who also held office as such at the twenty-seventh day of November nineteen hundred and fifty-eight a sum in cash equal to seven times the gross amount of the fees received by him as such director in respect of the year ended on the thirty-first day of December nineteen hundred and fifty-seven;

- (b) pay to the persons who are in office as auditors of a specified company immediately before the day of transfer and who also held that office on the said twenty-seventh day of November a sum in cash equal to three times the gross amount of the fees received by them as such auditors in respect of the year ended on the said thirty-first day of December:

Provided that in the case of any person who is appointed an auditor of the Company within eighteen months of the day of transfer the right to compensation for loss of office as auditor shall be forfeited and if before such an appointment has been made compensation for loss of that office has been paid to that person he shall refund the amount so received by him to the Company who may recover the same as a simple contract debt.

Officers and
servants to be
taken over
by the
Company.

40.—(1) The following persons being—

- (a) all those persons who immediately before the day of transfer are in the employment of a specified company; and
- (b) such of the officers and servants of the Garden City Company of the Knebworth undertaker and of each transferring local authority as were employed wholly or mainly by that transferring undertaker in connection with their transferred undertaking immediately before the day of transfer as may be agreed between the transferring undertaker and the Company or in default of agreement as may be determined by arbitration;

shall on the day of transfer and if willing to enter the service of the Company be taken by the Company into their service at rates of salary or wages and emoluments and on terms (including superannuation rights) not less favourable than those which immediately before the day of transfer governed their employment by the transferring undertaker by whom they were employed.

(2) Every employee of a transferring undertaker who suffers any direct pecuniary loss by reason of the determination of his employment or the diminution of his emoluments which is

attributable to the incorporation of the Company and to the transfer to the Company of the transferred undertaking shall unless provision for his compensation is made by or under any other enactment for the time being in force be entitled to receive compensation and for the purposes of this subsection section 44 of the Act of 1945 shall with any necessary modifications extend and apply as if this Act were an order made under the Act of 1945.

(3) Compensation payable under subsection (2) of this section shall be paid—

- (a) in the case of an employee described in paragraph (a) or paragraph (b) of subsection (1) of this section by the Company; and
- (b) in the case of any other employee by the transferring undertaker by whom he was employed immediately before the day of transfer.

41.—(1) As from the day of transfer the Company shall continue to pay to the former employees or dependants of former employees of certain transferring undertakers specified in column (1) of the First Schedule to this Act the ex gratia pensions being paid immediately before the day of transfer at the respective rates specified in column (2) of that schedule. Payment of pensions.

(2) (a) The Company shall be liable to repay to each transferring local authority such proportion of the pensions paid by that authority to those persons who while in the employment of the authority were wholly employed in connection with the transferred undertaking of the authority as is not borne by the superannuation fund of the authority.

(b) The repayments to be made by the Company to a transferring local authority under the foregoing paragraph of this subsection shall be made in respect of each period of six months beginning on the first day of April and the first day of October as soon as is reasonably practicable after the Company have been notified by the authority of the amount to be repaid in respect of the previous six months.

(c) The receipt of a transferring local authority for any amount so repaid shall effectually discharge the Company from liability for the amount acknowledged to have been received and from being bound to see to the application thereof and from being answerable or accountable for the loss misapplication or non-application thereof.

PART III
—cont.

Pension and
other schemes
transferred
to Company.

42.—(1) In this section—

“transferred scheme” means—

(a) the pensions fund established by the Barnet Company pursuant to section 18 (Contributory pensions fund) of the Barnet District Gas and Water Act 1928 (which by virtue of subsection (2) of section 9 (General provisions as to repeal) of the Barnet District Water Order 1958 is deemed to have been established under section 78 of the Third Schedule to the Act of 1945);

(b) the co-partnership profit sharing scheme established by the Barnet Company pursuant to section 84 (Profit sharing) of the Barnet District Gas and Water Act 1926; and

(c) the provident fund established by the Barnet Company on the first day of May nineteen hundred and thirty-nine;

and includes all funds money and securities for money held upon the trusts or for the purposes of each such fund or scheme; and

“beneficiary” in respect of each transferred scheme includes—

(a) all former employees of the Barnet Company who at the date of transfer shall be entitled to share in the transferred scheme; and

(b) all employees of the Barnet Company taken into the service of the Company pursuant to section 40 (Officers and servants to be taken over by the Company) of this Act who immediately before the day of transfer shall be or thereafter shall become entitled to benefits under or to share in the transferred scheme by reason of attaining a specified age or upon the fulfilment of some other condition or the happening of some other event.

(2) Subject to the provisions of this section and notwithstanding any provision in any rules or deed relating to a transferred scheme whereby the transferred scheme would be terminated upon the sale of the undertaking of or the amalgamation of the Barnet Company every transferred scheme shall from the day of transfer continue in operation and for this purpose—

(a) for references in the said rules or deed to the Barnet Company there shall be substituted references to the Company; and

(b) the provisions of sections 84 (Profit sharing) and 85 (Regulations affecting profit sharing scheme) of the Barnet District Gas and Water Act 1926 shall continue to have effect in relation to the co-partnership profit sharing scheme as if those sections had not been repealed by this Act.

(3) (a) Any employee of the Barnet Company (other than a beneficiary) entitled immediately before the day of transfer to benefits under or to share in a transferred scheme shall for the purposes of each such scheme be deemed to have resigned voluntarily or to have retired from the service of the Barnet Company on the day preceding the day of transfer.

(b) Subject to paragraph (a) of this subsection from the day of transfer no person other than a beneficiary shall be entitled to benefits under or to share in a transferred scheme.

(4) Notwithstanding any rules or deed relating to a transferred scheme the directors may within three years from the day of transfer by resolution terminate the co-partnership profit sharing scheme or the provident fund from such date within that period and upon such terms and conditions as they may determine:

Provided that no such termination shall deprive any beneficiary without his consent of any benefit then accrued due to him under such transferred scheme.

(5) Nothing in this section shall restrict any person entitled to join in any pension scheme established by the Company from agreeing with the Company that in lieu of any rights which he would have had pursuant to this section he shall join in a pension scheme established by the Company and shall be entitled to the rights conferred thereby.

(6) Any dispute arising under this section shall be determined by arbitration.

43.—(1) From and after the day of transfer a specified company shall subsist only for the purposes of winding up its affairs and carrying into effect the provisions of this Act so far as they relate to the specified company and the directors of the specified company who are in office on the day of transfer or the survivors of them shall continue in office without re-election and they or the majority of them or (if a liquidator of a specified company has been duly appointed) the liquidator shall have power and authority to take with respect to the specified company all proceedings necessary for carrying into effect the purposes of this section:

Winding up of
companies and
distribution of
moneys or
securities.

Provided that if the number of directors of a specified company be reduced below two before the completion of the winding up of that company and no liquidator shall have been appointed the continuing director of that company shall appoint a person who immediately before the day of transfer is a holder of ordinary stock of that company to fill the vacancy so caused.

(2) The directors or (if a liquidator has been duly appointed) the liquidator of the Royston Company shall prepare a scheme for the distribution of the moneys or securities to be distributed to the holders of stock and shares in and of debentures

PART III
—cont.

or mortgages of the Royston Company (hereinafter referred to as "respective holders") and the following provisions shall have effect:—

- (a) The directors or liquidator of the Royston Company shall send by post a copy of the scheme to all the respective holders at their last known or usual addresses together with a notice summoning a meeting of the respective holders to consider the scheme at a place and time to be named in the notice the time being not earlier than seven days nor later than twenty-one days after the circulation of the scheme;
- (b) The scheme shall be submitted to the meeting for approval:
Provided that unless the scheme is approved by respective holders representing not less than three-fourths in value of the stock shares debentures debenture stock or mortgages of each class voting thereat in person or by proxy it shall be settled by arbitration;
- (c) The scheme approved at the meeting or if referred to an arbitrator settled by him shall be binding on all the respective holders.

(3) In case the directors or the liquidator of a specified company are for six months after the day of transfer unable after diligent inquiry to ascertain the person to whom any money or certificate for securities ought to be paid or delivered or who can give an effectual receipt for it the directors or the liquidator may pay the money or securities into court as if it belonged to a trust of which they or he were trustees or a trustee.

(4) Upon the purposes specified in this section being fulfilled in relation to the Barnet Company and the Herts and Essex Company respectively and upon its affairs being by resolution of its directors declared to be wound up that company shall by virtue of this Act be dissolved.

(5) (a) As from the day of transfer the provisions of the Act of 1948 shall (subject as hereinafter mentioned) apply to the Royston Company and in relation to the affairs of such company as though it were a company within the meaning of that Act which had on the day of transfer resolved by special resolution that it should be wound up voluntarily in accordance with the provisions of section 278 of that Act:

Provided that section 143 of that Act shall not apply.

(b) The Royston Company shall within fourteen days after the day of transfer give notice by advertisement in the London Gazette of the provisions of paragraph (a) of this subsection

as to the voluntary winding up of the Royston Company and the publication of the said advertisement shall be deemed to be compliance with the requirements of section 279 of the Act of 1948.

PART III
—cont.

(c) It shall not be necessary for the directors of the Royston Company to make any such declaration as is referred to in section 283 of the Act of 1948 but subject to the provisions of this Act that company shall be wound up under and in accordance with the provisions of the Act of 1948 applicable to a members' voluntary winding up.

(6) The directors of the Barnet Company and of the Herts and Essex Company may respectively by resolution appoint a liquidator to exercise the powers of that company for the purpose of winding up its affairs.

(7) The Company shall pay the costs and expenses reasonably incurred by the directors of a specified company in winding up that company pursuant to this section.

PART IV

FINANCE

44. The original capital of the Company shall be—

Capital.

(a) the nominal amounts of ordinary stock and preference stock created by paragraphs (a) to (e) of subsection (1) of section 17 (Creation of ordinary and preference capital for purposes of transfer of transferred undertakings) of this Act; and

(b) the nominal amounts of ordinary stock and preference stock created by virtue of subsection (2) of the said section 17.

45.—(1) The Company may from time to time raise additional capital by the creation and issue at their option of ordinary shares or stock or preference shares or stock or wholly or partially by one or more of those modes to such an amount as will be sufficient to produce after taking into account premiums and discounts (if any) which may be obtained or allowed on the issue thereof the sum of two million pounds but no such shares or stock shall vest in the person accepting the same until the full price of such shares or stock including any premium obtained upon the sale thereof shall have been paid in respect thereof.

As to raising additional capital.

(2) No shares created and issued under this section shall be of less nominal value than one pound.

46.—(1) The Company may without further or other authority borrow on mortgage of the undertaking any sum or sums not exceeding in the whole (inclusive of the amount of the debentures

Power to borrow.

PART IV
—cont.

and debenture stock referred to in section 24 (As to debentures and debenture stock of the Barnet Company and the Herts and Essex Company) of this Act)—

- (a) one-half of the original capital; and
- (b) one-half of the amount (including premiums and allowing for discounts) of any other capital whether created or issued under this Act or any other enactment;

which at the time of borrowing has been issued or raised by the Company.

(2) The powers conferred by this section shall be without prejudice to the right of the Company to reborrow from time to time any amounts which have been or are deemed to have been raised by borrowing on mortgage or by the creation and issue of redeemable debenture stock and are thereafter paid off.

(3) The Company shall not without the consent of the Minister pay interest at a higher rate than six per centum per annum on any moneys borrowed under this section.

Debenture
stock and
mortgages.

47. Notwithstanding anything contained in Part III of the Companies Clauses Act 1863 as incorporated with this Act—

- (a) the Company may without further or other authority create and issue debenture stock; and
- (b) the principal moneys secured by and interest on the debentures and debenture stock referred to in section 24 (As to debentures and debenture stock of the Barnet Company and the Herts and Essex Company) of this Act and the principal moneys secured by and interest on all debentures debenture stock and mortgages at any time after the passing of this Act created and issued or granted by the Company under this or any subsequent enactment shall subject to the provisions of any subsequent enactment rank *pari passu* (without respect to the dates of the securities or of the enactments or resolutions by which the debentures debenture stock and the mortgages were authorised) Notice of the effect of this enactment shall be endorsed on all mortgages and debentures and certificates of debenture stock.

Priority of
debentures and
mortgages
over other
debts.

48. All moneys raised by the Company on debentures debenture stock or mortgages under the provisions of this Act or secured by the debentures and debenture stock referred to in section 24 (As to debentures and debenture stock of the Barnet Company and the Herts and Essex Company) of this Act shall have priority against the Company and the property from time to time of the Company over all other claims on account of any debts incurred or engagements entered into by them after the passing of this Act:

Provided that this priority shall not affect any claim against the Company or their property in respect of any rentcharge granted or to be granted by them in pursuance of the Lands Clauses Acts or in respect of any rent or sum reserved by or payable under any lease granted or made to or vested in the Company which is entitled to rank in priority to or *pari passu* with the interest on their mortgages or debenture stock.

PART IV
—cont.

49. The mortgagees of the undertaking may enforce payment of arrears of interest or principal or both due on their mortgages by the appointment of a receiver. In order to authorise the appointment of a receiver in respect of arrears of principal the amount owing to the mortgagees by whom the application for a receiver is made shall not be less than ten thousand pounds.

Appointment
of receiver.

50. In addition to the powers to borrow money on mortgage of the undertaking or to raise money by the creation and issue of debenture stock conferred on the Company by this Act the Company may for the purposes of or in connection with the undertaking borrow by way of temporary loans or overdrafts from banks or otherwise any sums which they may temporarily require—

Temporary
borrowing.

- (a) for the purpose of defraying expenses pending the receipt of revenues receivable by them in respect of the period of account in which those expenses are chargeable:

Provided that the aggregate amount outstanding at any time of the moneys so borrowed shall not exceed two hundred thousand pounds; and

- (b) for the purpose of defraying pending the issue of stock or shares of any description or the borrowing of money (such issue or borrowing being within the statutory powers of the Company at the time of the exercise of their temporary powers under this section) expenses intended to be defrayed by means of such issue or borrowing as the case may be.

51. No sum which may arise by way of premium from the issue of any share capital under the provisions of this Act shall be considered as part of the capital of the Company entitled to dividend.

As to
premiums.

52.—(1) Subject to the provisions of this section the Company shall not in respect of any year pay dividends on their paid-up share capital at rates per centum greater than the following rates that is to say:—

Maximum
rates of
dividends.

- (a) on the ordinary stock and preference stock created by subsection (1) of section 17 (Creation of ordinary and preference capital for purposes of transfer of transferred undertakings) of this Act—

the rates respectively specified in that subsection;

PART IV
—cont.

(b) on other capital issued as ordinary capital—
seven per centum;

(c) on other capital issued as preference capital—
six per centum.

(2) Nothing in subsection (1) of this section shall prevent the paying of a greater dividend on so much of the paid-up share capital as is issued as ordinary share capital in order to make up deficiencies in previous dividends arising during the last five years before the year in respect of which a dividend is being paid.

Application to
Company of
section 1 of
Trustee Act
1925.

53. For the purposes of section 1 of the Trustee Act 1925 the Company shall be deemed to be a company to which paragraph (1) of subsection (1) of that section applies and in the application of that paragraph to the Company it shall have effect as if for the words “ five per centum ” there were substituted the words “ four per centum ” and the Company shall be deemed during each of the ten years last past before the day of transfer to have paid a dividend of not less than four per centum on its ordinary share capital.

Saving for
powers of
Treasury.

54. It shall not be lawful to exercise the powers of borrowing conferred by this Act otherwise than in compliance with the provisions of any order for the time being in force made under section 1 of the Borrowing (Control and Guarantees) Act 1946.

PART V

ADMINISTRATIVE PROVISIONS

Ordinary
meetings.

55.—(1) The first ordinary meeting of the Company shall be held not later than eighteen months after the passing of this Act.

(2) Notwithstanding anything in the Companies Clauses Consolidation Act 1845 the future ordinary meetings of the Company shall be held once only in each year in such month as the directors may from time to time determine.

Notices of
meetings.

56. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 notice of all meetings of the Company whether ordinary or extraordinary may (if the directors so determine) be given by letter sent by ordinary letter post to each shareholder instead of by public advertisement:

Provided that the letters giving the notice shall be directed according to the registered address or other known address of each shareholder prepaid and posted not later than fourteen

clear days before the date of the meeting In proving that any such notice has been given it shall be sufficient to prove that the letter containing the notice was properly addressed and put into the post office as a prepaid letter not later than the time hereby prescribed.

PART V
—cont.

57. The quorum for a general meeting of the Company (whether ordinary or extraordinary) shall be six shareholders present in person.

Quorum for
meetings of
Company.

58. At all meetings of the Company (whether ordinary or extraordinary) every shareholder shall on a show of hands be entitled to one vote and on a poll to one vote in respect of each one pound in nominal value of the stock and shares held by him:

Voting rights.

Provided that no such holder shall be entitled to vote at any meeting in respect of any shares on which any call remains unpaid.

59. At any meeting of the Company a majority of votes shall only be required to be proved if a poll be demanded at the meeting and if a poll be not demanded at the meeting then a declaration by the chairman that the resolution has been carried and an entry to that effect in the book of proceedings of the Company shall be sufficient and conclusive evidence of the fact without proof of the number or proportion of votes recorded in favour of or against the resolution.

Proof of
majority of
votes only
required when
poll
demanded.

60. Notwithstanding anything in the Companies Consolidation Act 1845 the attorney of any shareholder duly authorised in writing may appoint a proxy to vote for and on behalf of the shareholder and for that purpose may execute on behalf of the shareholder the necessary form of proxy:

As to
appointment
of proxies.

Provided that the instrument appointing the attorney or if it has been deposited in the central office of the Supreme Court an office copy thereof shall be transmitted to the secretary at the same time as the instrument appointing the proxy.

61.—(1) Notwithstanding anything in the Companies Consolidation Act 1845 where several persons are jointly entitled to and registered as holders of any stock or shares of the Company any one of those persons may vote at any meeting either personally or by proxy in respect of the stock or shares as if he were solely entitled thereto but if more than one of the joint holders be present at any meeting personally or by proxy that one of the said

Joint holders.

PART V
—cont.

persons so present whose name stands first on the register in respect of the shares shall alone be entitled to vote in respect thereof.

(2) Several executors or administrators of a deceased member in whose name any stock or shares stand shall for the purposes of this section be deemed joint holders thereof.

Minimum
holdings of
stock and
debenture
stock.

62.—(1) All ordinary and preference stock and debenture stock of the Company shall be issued and be held in amounts of one pound or of a multiple of one pound and not otherwise and the Company shall not be under any obligation to register a transfer of any ordinary or preference stock or debenture stock which would make the holding (if any) of the transferor or transferee an amount other than one pound or a multiple of one pound.

(2) Notice of this enactment so far as applicable shall be endorsed on all certificates of ordinary and preference stock and debenture stock of the Company as the case may be.

Company not
bound to
regard trusts.

63. The Company shall not be bound to see to the execution of any trust whether express implied or constructive to which any of their capital or debentures debenture stock or mortgages may be subject and the provisions of section 20 of the Companies Clauses Consolidation Act 1845 shall mutatis mutandis extend and apply to any capital debentures debenture stock or mortgages of the Company as if the same were shares to which that section applies:

Provided that in that section for the words "receipt of one of the parties named in" the words "receipt of the party whose name stands first on" shall be deemed to be substituted.

Receipts in
case of persons
not sui juris.

64. If any money is payable to a shareholder debenture holder debenture stockholder or mortgagee being a minor idiot or lunatic the receipt of his guardian or receiver or the committee of his estate (as the case may be) shall be a sufficient discharge to the Company.

Register of
shareholders
and
shareholders'
address book.

65. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 it shall not be obligatory upon the Company—

(a) to keep separately a register of shareholders and a shareholders' address book if in lieu thereof the Company keep one register only containing such particulars as are required by the said Act to be entered in the register of shareholders and the shareholders' address book respectively; or

- (b) to authenticate by the affixing of their common seal or otherwise the register of shareholders or any register which the Company may keep in lieu thereof under the powers of this section.

66. Notwithstanding anything in section 10 of the Companies Substitution of
Clauses Consolidation Act 1845 the Company may substitute for card index for
the shareholders' address book provided under that section or for shareholders'
the portion of any register which the Company may keep under address book.
the last foregoing section of this Act containing such particulars
as are required by the said Act of 1845 to be entered in the
shareholders' address book a card or other index (of a type to
be approved by the auditors of the Company) containing the
names and addresses of the several shareholders of the Company
and the said section 10 in its application to the Company shall
be read and have effect accordingly.

67. Any registered holder of stock shares debentures debenture Addresses of
stock or mortgages of the Company of any class whose address is shareholders
not in Great Britain shall from time to time name an address in etc. abroad.
Great Britain which shall for the purposes of the Company be
deemed to be the address of the holder and shall be entered in the
shareholders' address book or any register or card or other index
which the Company may keep in lieu thereof under the authority of
this Act or any register of debentures debenture stock or mortgages
kept by the Company pursuant to section 28 of the Companies
Clauses Act 1863 and section 45 of the Companies Clauses
Consolidation Act 1845 respectively and it shall not be obligatory
on the Company to send any notice to any such holder otherwise
than to an address so named.

68. Notwithstanding anything in the Companies Clauses Acts Register of
1845 to 1889 it shall not be obligatory on the Company to keep transfers.
registers of transfers of ordinary stock or shares preference stock or
shares debentures debenture stock and mortgages respectively so
long as the Company in lieu of those registers shall keep a file
of all transfers as evidence of transmission of any ordinary stock
or shares preference stock or shares debentures debenture stock
or mortgages of the Company which are sent to them for
registration in accordance with the provisions of those Acts.

69.—(1) The directors may close the register or file of transfers Closing of
for a period not exceeding fourteen days previous to the declaration transfer books.
of any dividend on any capital of the Company and they may close
the registers or files of transfers of debentures debenture stock and
mortgages for a period not exceeding twenty-one days previous to
each date at which the interest thereon shall be payable and the

PART V
—cont.

directors may in any such case fix a day for the closing of any register which they are authorised to close under the provisions of this section.

(2) Not less than seven days' notice of the closing of any such register shall be given by advertisement in a newspaper published and circulating in the limits of supply and any transfer of stock shares debentures debenture stock or mortgages made or lodged for registration during the time when the register or file of transfers of such stock shares or security is so closed shall as between the Company and the person claiming under the same but not otherwise be considered as made subsequent to the declaration of any such dividend or the payment of any such interest as the case may be.

Indemnity
before issue of
substituted
certificates
etc.

70. Notwithstanding anything in section 13 of the Companies Clauses Consolidation Act 1845 or in any other enactment the Company shall not be under any obligation to issue a new mortgage deed or a new certificate of any stock shares debentures or debenture stock or a new warrant in respect of interest or dividend in lieu of any mortgage deed certificate or warrant lost or destroyed or alleged to be lost or destroyed until they have received from the person to whom such new mortgage deed certificate or warrant is to be issued such indemnity as the directors may require against any and every claim or expense which may be made against the Company or which the Company may incur in respect of such lost or destroyed mortgage deed certificate or warrant or the mortgage stock share debenture debenture stock dividend or interest represented thereby.

As to
transfers of
stock on
death or
bankruptcy.

71.—(1) Notwithstanding anything in section 18 of the Companies Clauses Consolidation Act 1845 any person becoming entitled to any stock in the capital of the Company in consequence of the death or bankruptcy of the holder may upon such evidence being produced as may from time to time properly be required by the directors and subject as hereinafter in this section provided elect either to be registered himself as the holder of the stock or to have some person nominated by him registered as the transferee thereof but the directors shall in either case have the same right to decline or suspend registration as they would have had in the case of a transfer of the stock by that holder before his death or bankruptcy (as the case may be).

(2) If the person so entitled shall elect to be registered himself he shall deliver or send to the Company a notice in writing signed by him stating that he so elects. If he shall elect to have another person registered he shall testify his election by executing to that person a transfer of the stock. All the limitations restrictions and provisions of any Act or order for the time being applying to the Company relating to the right to transfer and the registration of transfers of stock shall be applicable to any

such notice or transfer as aforesaid as if the death or bankruptcy of the holder had not occurred and the notice of transfer were a transfer signed by that holder.

PART V
—cont.

(3) A person becoming entitled to stock by reason of the death or bankruptcy of the holder shall be entitled to the same dividends and other advantages to which he would be entitled if he were the registered holder of the stock except that he shall not before being registered as the holder be entitled in respect of it to exercise any right conferred by being the holder in relation to meetings of the Company:

Provided that the directors may at any time give notice requiring any such person to elect either to be registered himself or to transfer the stock and if the notice is not complied with within ninety days the directors may thereafter withhold payment of all dividends or other moneys payable in respect of the stock until the requirements of the notice have been complied with.

(4) In this section "stock" includes shares debentures debenture stock and mortgages.

72.—(1) Notwithstanding anything in section 120 of the Dividends. Companies Clauses Consolidation Act 1845 the directors shall not be required to cause a scheme to be prepared as provided for in that section and at an ordinary general meeting held in pursuance of that section (as modified in its application to the Company by subsection (2) of section 55 (Ordinary meetings) of this Act) a dividend may be declared by the shareholders but no such dividend shall exceed the amount recommended by the directors.

(2) If and so far as in the opinion of the directors the profits of the Company justify such payments the directors may pay without the sanction or direction of a general meeting an interim half-yearly dividend on any class of share capital of such amount (not exceeding one-half of the maximum rate of dividend of the class of such capital in respect of which the interim dividend is being paid) and at such date as they think fit.

73.—(1) Notwithstanding anything in the Companies Clauses Auditors. Consolidation Act 1845 the Company may at any time by resolution passed at a general meeting decide that the Company's accounts shall be audited by a single auditor or by a firm of accountants and it shall not be necessary for any auditor of the Company or the members of any firm of accountants to hold any share or stock in the Company.

(2) The directors may appoint an auditor or firm of accountants to act in respect of any period prior to the first ordinary meeting of the Company and if at any time any auditor of the Company dies or resigns the directors may appoint another auditor in his place who shall hold office until the next ordinary meeting.

PART V

—cont.

Receipts of certain officers to be valid discharges.

74. Receipts in writing signed by the financial officer the secretary the managing director or the general manager of the Company for any money effects or property paid or delivered to the Company or any person on their behalf shall effectually discharge the persons paying or delivering the money effects or property from all liability in respect thereof.

Representation of corporations at meetings of Company.

75. Any corporation being a member of the Company may by resolution of its directors or other governing body authorise such person as it thinks fit to act as its representative at any meeting of the Company or of any class of shareholders of the Company and the person so authorised shall be entitled to exercise the same powers on behalf of the corporation which he represents as that corporation could exercise if it were an individual member of the Company.

Affixing of signatures to certificates by mechanical means.

76. The directors may either generally or in any particular case determine that the signature of a director or the secretary may be affixed by some mechanical device to be specified by the directors to any certificates for stock shares debentures debenture stock or any other security which is required to be issued under the common seal and to bear the autographic signature of one or more directors or the secretary.

PART VI

SUPPLY OF WATER

Limits of supply.

77. As from the day of transfer the limits for the supply of water by the Company shall be the areas individually described in Parts I to XVI of the Second Schedule to this Act and comprehensively described in Part XVII of the said schedule.

Exercise of existing powers.

78.—(1) Notwithstanding the repeal by this Act of the enactments specified in Part II of the Fifth Schedule to this Act the Company may as from the day of transfer for the purpose of the undertaking—

(a) maintain repair renew alter use and to the extent to which a transferring undertaker was entitled so to do immediately before the day of transfer enlarge improve and extend all the reservoirs wells boreholes pumping stations mains pipes and other works comprised in the transferred undertakings; and

(b) collect impound use divert and appropriate for the purposes of the undertaking all streams springs and waters which a transferring undertaker was entitled to collect impound use divert or appropriate immediately before the day of transfer by means of any of the works referred to in paragraph (a) of this section.

(2) For the purposes of this Act all mains pipes and other works transferred to the Company by virtue of this Act shall be deemed to have been laid or constructed by the Company.

79. The provisions of the Third Schedule to the Act of 1945 (except the provisions thereof mentioned in Part I of the Third Schedule to this Act) shall subject to the modifications set out in Part II of the said Third Schedule to this Act apply to the undertaking and are hereby incorporated with this Act.

PART VI
—cont.

Incorporation
of Third
Schedule to
the Act of
1945.

80.—(1) For the purposes of section 46 of the Third Schedule to the Act of 1945 as incorporated with this Act—

Water rates
and charges.

(a) the prescribed rate poundage shall be two shillings and ninepence in the pound ; and

(b) the prescribed minimum charge shall be twenty-six shillings per annum.

(2) Notwithstanding the provisions of paragraph (a) of subsection (1) of this section—

(a) (i) during the first three years after the day of transfer the rates to be charged by the Company for a supply of water for domestic purposes within the areas mentioned in the first column of Part I of the Fourth Schedule to this Act shall be those specified in the second column of that Part of the said schedule; and

(ii) during the second three years after the day of transfer the rates to be charged by the Company for a supply of water for domestic purposes within the said areas shall be those specified in the third column of that Part of the said schedule;

(b) (i) during the period from the day of transfer to the thirtieth day of September nineteen hundred and sixty-three the rate to be charged by the Company for a supply of water for domestic purposes within the urban district of Bishop's Stortford shall be fifty per centum of the rate from time to time charged within the remainder of the area described in Part II of the Second Schedule to this Act; and

(ii) during the five years next following the thirtieth day of September nineteen hundred and sixty-three the rate to be charged by the Company for a supply of water for domestic purposes within the said urban district shall be twenty-five per centum below the rate from time to time charged within the remainder of the said area.

(3) For the purposes of paragraphs (a) and (b) of subsection (1) of section 48 of the Third Schedule to the Act of 1945 as incorporated with this Act the prescribed sum shall be forty shillings per annum in each case.

(4) (a) The prescribed maximum charge for a supply of water by meter shall be four shillings per thousand gallons.

(b) Except in the case of supplies to premises referred to in subsection (2) of section 49 of the Third Schedule to the Act of

PART VI
—cont.

1945 as incorporated with this Act the Company may make for any supply of water by meter a minimum quarterly charge which according to the size of the meter in question shall not exceed the charge specified in column (2) of the following table:—

Size of meter (1)	Minimum quarterly charge (2)		
	£	s.	d.
$\frac{3}{8}$ inch	1	10	0
$\frac{1}{2}$ inch	2	2	0
$\frac{3}{4}$ inch	3	5	0
1 inch	6	0	0
$1\frac{1}{2}$ inches	12	0	0
2 inches	19	0	0
3 inches	24	0	0
4 inches	36	0	0
6 inches	72	0	0

(5) Notwithstanding the provisions of paragraph (a) of subsection (4) of this section—

- (i) during the first three years after the day of transfer the charge to be made by the Company for a supply of water by meter within each of the areas mentioned in the first column of Part II of the Fourth Schedule to this Act shall be that specified in the second column of that Part of the said schedule opposite to the description of that area;
- (ii) during the second three years after the day of transfer the charge to be made by the Company for a supply of water by meter within each of the said areas shall be that specified in the third column of that Part of the said schedule opposite to the description of that area.

(6) Notwithstanding the foregoing provisions of this section the Company may by agreement with a transferring undertaker approved by the Minister levy for any period or periods not exceeding six years after the day of transfer in any part of the limits of supply such rates for a supply of water for domestic purposes and such charges for a supply of water by meter as may be provided for in the agreement.

(7) For the purposes of this section each of the areas specified respectively in Parts I to XVI of the said Second Schedule shall be deemed to include such premises outside that area as shall on the day of transfer be supplied with water (otherwise than in bulk) by the transferring undertaker supplying water in that area.

81. Notwithstanding anything in any enactment relating to a transferred undertaking no transferring undertaker shall charge a water rate in respect of the year beginning on the first day of January nineteen hundred and sixty except for the first three months of that year.

Water rates
to be charged
in nineteen
hundred and
sixty.

PART VII

MISCELLANEOUS

82.—(1) In any case in which a transferred undertaking includes—

Assets partly
used for
transferred
undertaking.

- (a) an asset which is held or used in part for the purposes of the transferred undertaking and in part for other purposes of the transferring undertaker; or
- (b) an asset which forms part only of a building or other property of the transferring undertaker;

an agreement may before the day of transfer be entered into between the transferring undertaker and the Company in relation to that asset and without prejudice to the generality of this provision any such agreement may—

- (i) provide for the exclusion of the asset from the transfer;
- (ii) provide for the inclusion in the transfer of other property of the transferring undertaker in connection with which the asset is used;
- (iii) provide for the joint user of the asset;
- (iv) provide where necessary for the granting of easements or rights over or in respect of land to be transferred or land to be retained by the transferring undertaker; and
- (v) state the terms and conditions of such agreement (including payments to be made in respect thereof) and (if thought fit) the period for which it shall operate.

(2) Where any such agreement provides for the exclusion of the asset from the transfer or for the joint user of the asset such asset shall not be transferred to the Company by virtue of this Act.

(3) Where any such agreement provides for the inclusion in the transfer of other property of the transferring undertaker in connection with which the said asset is used such property shall on the day of transfer or on a date stated in the agreement be transferred to the Company by virtue of this Act.

(4) Where under subsection (1) of this section a question has arisen between the transferring undertaker and the Company whether—

- (a) an asset should be excluded from the transfer; or
- (b) there should be included in the transfer other property of the transferring undertaker in connection with which the said asset is used; or
- (c) the said asset should be used jointly;

PART VII
—cont.

and the matter has not been agreed between the transferring undertaker and the Company before the day of transfer the said asset shall not on that day be transferred to the Company but may be used by the Company on such terms as may be agreed between the transferring undertaker and the Company or failing agreement as may subsequently be determined by arbitration and in such a case—

- (i) if it is afterwards agreed or determined by arbitration that the said asset shall be excluded from the transfer or shall be used jointly by the transferring undertaker and the Company subsection (2) of this section shall apply as if it had been so agreed before the day of transfer;
- (ii) if it is afterwards agreed or determined by arbitration that the said asset shall be included in the transfer or that there shall be included in the transfer other property of the transferring undertaker in connection with which the said asset is used the said asset or such other property (as the case may be) shall accordingly be transferred to the Company by virtue of this Act on a date stated in such agreement or in the award of the arbitrator (as the case may be).

For protec-
tion of
Postmaster-
General.

83.—(1) Notwithstanding anything contained in this Act or in any enactment set out in Part I of the Fifth Schedule to this Act but without prejudice to any provision for the protection or benefit of the Postmaster-General or his telegraphic lines contained in any enactment or order for the time being in force—

- (a) the Company shall not alter or interfere with any telegraphic line belonging to or used by the Postmaster-General except in accordance with and subject to the enactments numbered (1) to (8) contained in section 7 of the Telegraph Act 1878;
- (b) any electrical works or apparatus constructed erected laid down maintained or used by the Company shall be so constructed erected or laid down and so maintained and used as to prevent interference with any telegraphic line belonging to or used by the Postmaster-General or with telegraphic communication by means of any such line;
- (c) the provisions for the protection of the Postmaster-General and his telegraphic lines which are contained in the Electricity (Supply) Acts 1882 to 1936 as amended by the Electricity Act 1947 and in the schedule to the Electric Lighting (Clauses) Act 1899 shall so far as applicable extend and apply to any electric lines or apparatus belonging to or used by the Company at any

time laid down or erected in under or over any street or highway or other land for the purpose of transmitting electrical energy;

PART VII
—cont.

- (d) wires posts conductors or other apparatus belonging to or used by the Company shall not be used in contravention of the exclusive privilege conferred upon the Postmaster-General by the Telegraph Act 1869 or be installed or worked in contravention of the provisions of the Wireless Telegraphy Act 1949.

(2) In this section “telegraphic line” has the same meaning as in the Telegraph Act 1878 and “electric line” has the same meaning as in the Electric Lighting Act 1882.

84. For the protection of the British Transport Commission (hereinafter called “the commission”) the following provisions shall unless otherwise agreed in writing between the commission and the Company apply and have effect:—

For protec-
tion of the
British
Transport
Commission.

- (1) The repeal by this Act of the enactments referred to in Part II of the Fifth Schedule to this Act shall not prejudice or affect any rights powers duties or obligations conferred or imposed by those enactments (so far as the same are in force immediately before the day of transfer) in relation to any works or apparatus constructed placed or laid before the day of transfer across along over under or so as to affect any railway works lands or property of the commission:
- (2) As from the day of transfer the said rights powers duties and obligations shall be deemed to be the rights powers duties and obligations of the commission on the one hand and of the Company on the other hand.

85. For the protection of the Metropolitan Water Board the Lee Conservancy Catchment Board and the British Transport Commission (hereinafter together called “the authorities”) the following provisions shall unless otherwise agreed in writing between the Company and the authorities apply and have effect:—

For
protection
of Metro-
politan Water
Board Lee
Conservancy
Catchment
Board and
British
Transport
Commission.

- (1) The Company shall not—

(a) for the purpose of supplying water to consumers within the urban districts of Hitchin Letchworth Baldock and Royston as the same exist at the passing of this Act; or

(b) for the purpose of supplying water in substantial quantities to consumers within any other part of the

PART VII
—cont.

limits of supply which is outside the Lee Catchment Area (as determined in pursuance of the Land Drainage Act 1930) in connection with any major new development not foreseen at the passing of this Act;

draw water from sources within the said catchment area without first consulting with the authorities:

- (2) If any of the authorities so require any proposal of the Company to draw water for either of the purposes mentioned in paragraph (1) of this section from sources within the said catchment area shall be referred to the Minister and in that event the proposal shall not be carried into effect unless the Minister consents:
- (3) Any difference which may arise between the Company and any of the authorities as to whether any particular development constitutes a major new development not foreseen at the passing of this Act and involving the supply by the Company of substantial quantities of water shall be determined by the Minister.

Softening of
water.

86.—(1) The Minister may on the application of the county council of Essex make an order providing that from a date to be specified in the order water to which this section applies shall not at any time exceed one hundred and eighty parts per million of hardness:

Provided that the Minister's order may be so limited as not to apply to water supplied from any pumping station or pumping stations of the Company specified in the order.

(2) This section applies to—

- (a) water supplied by the Company to consumers within the administrative county of Essex; and
- (b) such other water as cannot reasonably be separated from the water to be supplied to consumers in the said county before any treatment of that water necessary to comply with an order under this section.

(3) An order made under this section shall provide that the reasonable annual cost to the Company of complying with the order shall be borne by the consumers to whom the water to which this section applies is supplied and the Company shall be entitled to recover from those consumers such additional sums by way of special charges as in the opinion of the Minister shall be necessary to meet the said cost and such sums shall be recoverable in the manner in which water rates are recoverable under section 38 of the Act of 1945.

(4) Not later than the date on which the county council apply to the Minister under this section for an order they shall publish once at least in each of two successive weeks in one or more local newspapers circulating in the area to be affected by the order a notice—

(a) stating the general effect of the application; and

(b) stating that within a period of twenty-eight days from the date of the first publication of the notice any person may by notice to the Minister object to the application;

and shall serve a copy of the application upon the Company.

(5) Where an objection is made to the Minister by a person appearing to the Minister to be affected by the application and the objection is not withdrawn the Minister shall before determining whether to make an order cause a local inquiry to be held.

(6) The Company shall not save in case of accident breakdown or any other cause beyond their control supply water in contravention of an order made under this section.

(7) If the Company supply any water in contravention of this section or of an order made thereunder they shall be liable on conviction on information laid by or on behalf of the council of any county or county district having jurisdiction within those parts of the limits of supply to which the order applies to a penalty not exceeding ten pounds for every day on which such contravention occurs:

Provided that the Company shall not be liable to more than one penalty in respect of one and the same contravention.

87. The Company shall provide and maintain draw-off taps at the existing pumping stations at Sawbridgeworth Roydon and Widford from which taps the medical officer of health for any county or county district having jurisdiction within those parts of the limits of supply described in Part II of the Second Schedule to this Act or any person authorised in writing by any such medical officer shall be entitled at any time to take samples of water for examination and the taking of any such sample and the hours and the date of such taking shall immediately thereafter be communicated to the Company and duplicates of every such sample handed to them.

As to
provision of
draw-off taps.

88. The powers conferred on the Company by subsection (2) of section 24 of the Act of 1945 shall be extended to include a power to purchase or take on lease houses for persons employed by them.

Extension of
powers
conferred by
section 24 of
Act of
1945.

89. Where under this Act or under any enactment set out in Part I of the Fifth Schedule to this Act any question or dispute is to be referred to or determined by arbitration the reference shall be to a single arbitrator to be agreed upon between the

Arbitration.

PART VII
—cont.

parties or failing agreement to be appointed on the application of any party to the question or dispute (after notice in writing to the others of them) as follows:—

Arbitration under	Arbitrator to be appointed by
Subsection (1) of section 19 (Consideration payable to the Royston Company the Garden City Company and the Knebworth undertaker) of this Act	The President of the Institute of Chartered Accountants in England and Wales.
Subsection (1) of section 20 (Consideration payable to transferring local authorities (other than the Stevenage Corporation)) of this Act	The President of the Institute of Chartered Accountants in England and Wales.
Section 35 (Apportionment of certain liabilities and charges) of this Act	The President of the Institute of Chartered Accountants in England and Wales.
Subsection (1) of section 40 (Officers and servants to be taken over by the Company) of this Act	The President of the Institute of Water Engineers.
Subsection (6) of section 42 (Pension and other schemes transferred to Company)	The President of the Institute of Chartered Accountants in England and Wales.
Subsection (2) of section 43 (Winding up of companies and distribution of moneys or securities) of this Act	The President of the Law Society.
Subsection (4) of section 82 (Assets partly used for transferred undertaking) of this Act	The President of the Institute of Chartered Accountants in England and Wales.
Subsections (4) and (8) of section 7 (For protection of local sources of supply) of the Stevenage Development Corporation Water Order 1949	The President of the Institution of Civil Engineers.
Subsections (4) and (8) of section 12 (For protection of local sources of supply) of the Herts and Essex Water (Harlow Development Corporation) Order 1956	The President of the Institution of Civil Engineers.

Copy of
Act to be
registered.

90.—(1) The Company shall deliver to the registrar of companies a printed copy of this Act and he shall retain and register the same and if such copy is not so delivered within three months from the day of transfer the Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default continues and any director or manager of the Company who knowingly and wilfully authorises such default shall incur a like penalty. Every penalty under this section shall be recoverable summarily.

(2) There shall be paid to the registrar by the Company on such copy being registered the like fee as is for the time being payable under the Act of 1948 on registration of any document other than a memorandum of association or the abstract required

to be delivered to the registrar by a receiver or manager or the statement required to be sent to the registrar by the liquidator in a winding up in England.

PART VII
—cont.

91.—(1) The provisions of the enactments set out in Part I of the Fifth Schedule to this Act shall as from the day of transfer have effect as set out in that Part but only within the limits and to the extent to which they related or applied at the date upon which the respective enactments in which they are contained came into force. Amendment saving and repeal of enactments.

(2) Subject to the provisions of this Act the unrepealed provisions of the enactments set out in the first column of Part II of the said schedule shall as from the day of transfer be repealed to the extent shown in the second column of the said Part except so far and for so long as may be necessary for the purpose of winding up a specified company to which they apply and for giving effect to this Act:

Provided that nothing in this subsection shall affect or prejudice in any way any rights liabilities or obligations which were conferred or imposed on—

- (a) the Barnet District Gas and Water Company by or under any of the said provisions and which vested in the Eastern Gas Board by virtue of the Gas Act 1948 and the Gas (Allocation of Undertakings to Area Boards and Gas Councils) Order 1949; and
- (b) the North Metropolitan Electric Power Supply Company by or under section 91 of the Barnet District Gas and Water Act 1926 and which vested in the Eastern Electricity Board by virtue of the Electricity Act 1947 and the Electricity (Allocation of Undertakings to Area Boards) Order 1948.

(3) In section 8 (Confirmation of scheduled agreement with Barnet District Gas and Water Company) of the Metropolitan Water Board Act 1927 for the second reference to the Barnet Company there shall be substituted a reference to the Company.

92. This Act shall be deemed to be an enactment passed before and in force at the passing of the Town and Country Planning Act 1947 for the purposes of subsection (4) of section 13 and subsection (1) of section 118 of that Act. Saving for town and country planning.

93. All costs charges and expenses of and incidental to the preparing for and obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company and may in whole or in part be paid out of revenue. Costs of Act.

SCHEDULES

FIRST SCHEDULE

EX-GRATIA PENSIONS PAYABLE BY THE COMPANY TO FORMER
EMPLOYEES OF CERTAIN TRANSFERRING UNDERTAKERS

Name of pensioner (1)	Rate of pension (2)
THE BARNET COMPANY—	
Mrs. G. Irwin	£6 10s. 0d. per month.
Mrs. A. Payne	£5 8s. 4d. per month.
Mrs. Osborne	£2 10s. 0d. per week.
Mrs. Eames	£1 10s. 0d. per week.
Mrs. Everett	£1 10s. 0d. per week.
Mrs. Lucas	£1 10s. 0d. per week.
Mrs. Pollard	£1 10s. 0d. per week.
Mrs. Spring	£1 10s. 0d. per week.
Mrs. Stemp	£1 10s. 0d. per week.
T. Pikesley	£1 6s. 6d. per week.
W. Churchill	£1 0s. 0d. per week.
THE HERTS AND ESSEX COMPANY—	
C. Andrews	£5 0s. 0d. per week.

SECOND SCHEDULE

DESCRIPTION OF LIMITS OF SUPPLY

PART I

DESCRIPTION OF AREA SUPPLIED BY THE BARNET COMPANY

In the county of Hertford—

The urban district of East Barnet.

The urban district of Barnet except—

So much of that urban district as was excluded from the limits of supply of the Barnet Company by the Colne Valley Water (Variation of Limits) Order 1952; and

So much of that urban district as lies to the west of a line drawn from the boundary of the municipal borough of Hendon at a point approximately 200 yards south-west of the junction between Barnet Road and Hendon Wood Lane northwards along the boundary of the parish of Shenley as it existed prior to the County of Hertford Review Order 1935 to the centre of the Barnet By-Pass Road at a point approximately 700 yards south of the junction with Rowley Lane.

The rural district of Hatfield except—

So much of the parish of Bishop's Hatfield as lies south and west of a line drawn from the point where the parishes of Colney Heath Sandridge Rural and Bishop's Hatfield meet eastwards along the boundary between the former parishes of St. Peter Rural and Hatfield as that boundary existed prior to the County of Hertford Review Order 1935 to a point three and a half miles from the town hall of St. Albans and thence southwards along an arc with a radius of three and a half miles from the said town hall so far as the boundary of the parish of Bishop's Hatfield near Great Nast Hyde.

In the rural district of St. Albans—

Those parts of the parish of Colney Heath which—

(a) lie more than three and a half miles from the town hall of St. Albans;

(b) prior to the County of Hertford Review Order 1935 were comprised in the parish of Ridge and lie within three and a half miles of the said town hall.

In the rural district of Elstree—

The parish of Ridge.

Those parts of the parishes of Elstree and Shenley which lie—

(a) south of a line following the course of Rowley Lane but 242 yards north of the centre of that lane from the point where that lane meets the western boundary of the parish of Ridge in a south-westerly direction so far as the boundary of the parish of Shenley as it existed prior to the County of Hertford (Parishes of Shenley and Elstree) Confirmation Order 1951;

(b) east of a line running thence in a south-easterly direction along that former boundary as far as the western side of Rowley Lane and thence along the western side of Rowley Lane for a distance of 730 yards; and

(c) north of a line running thence along the boundary defined in the Colne Valley Water (Variation of Limits) Order 1952 as far as the boundary of the urban district of Barnet.

2ND SCH.
—cont.

In the county of Middlesex—

So much of the borough of Enfield as lies to the west of a line drawn from the point where the boundary of the parish of Enfield crosses Ridgeway Road south-eastwards to the boundary of the municipal borough of Southgate at a point 450 yards west of the lodge at Snakes Lane thence west along the boundary of the parish of Enfield until it meets the boundary of the urban district of East Barnet.

The borough of Finchley except—

Those parts of that borough which—

- (a) lie to the east of Dollis Brook and prior to the Middlesex Review Order 1934 were within the borough of Hendon;
- (b) lie to the west of Dollis Brook and prior to the said order were within the borough of Hendon;
- (c) prior to the said order were within the borough of Hornsey.

So much of the borough of Hendon as lies to the west of Dollis Brook and prior to the Middlesex Review Order 1934 was within the borough of Finchley.

So much of the borough of Hornsey as prior to the Middlesex Review Order 1934 was within the borough of Finchley.

Those parts of the borough of Southgate which—

- (a) are adjacent to Cockfosters Road and prior to the Middlesex Review Order 1934 formed part of the urban district of Enfield;
- (b) prior to the Middlesex Review Order 1934 formed part of the urban district of Friern Barnet.

The urban district of Potters Bar.

The urban district of Friern Barnet except those parts of that urban district which prior to the Middlesex Review Order 1934 were within the boroughs of Hornsey Wood Green and Southgate.

PART II

DESCRIPTION OF AREA SUPPLIED BY THE HERTS AND ESSEX COMPANY

In the county of Hertford—

The urban district of Sawbridgeworth.

The urban district of Bishop's Stortford.

In the rural district of Braughing—

The parish of High Wych.

In the county of Essex—

The urban district of Epping.

The urban district of Harlow.

The rural district of Epping and Ongar.

In the rural district of Dunmow—

The parishes of Great Hallingbury Hatfield Broad Oak and Little Hallingbury.

2ND SCH.
—cont.

PART III

DESCRIPTION OF AREA SUPPLIED BY THE ROYSTON COMPANY

In the county of Hertford—

The urban district of Royston.

PART IV

DESCRIPTION OF AREA SUPPLIED BY THE GARDEN CITY COMPANY

In the county of Hertford—

The urban district of Letchworth.

PART V

DESCRIPTION OF AREA SUPPLIED BY THE KNEBWORTH UNDERTAKER

In the county of Hertford—

In the rural district of Hitchin—

The parish of Knebworth except that part of the parish described in Part VII of this schedule.

So much of the parish of Codicote as lies to the east of the main road from Codicote to Hitchin and to the north of the road leading from the said main road at or near the twenty-eighth milestone from London towards Nupend Green between the junction with the said main road and the point where the boundary of the parish of Codicote first meets the said road leading towards Nupend Green.

PART VI

DESCRIPTION OF AREA SUPPLIED BY THE HERTFORD CORPORATION

In the county of Hertford—

The borough of Hertford except—

- (a) so much of that borough as formed part of the parish of Little Amwell prior to the County of Hertford (Bengeo &c.) Confirmation Order 1894;
- (b) so much of that borough as formed part of the parishes of Great Amwell and Ware prior to the Borough of Hertford (Great Amwell and Ware) Order 1897; and
- (c) so much of that borough as formed part of the parish of St. John Rural prior to the Ministry of Health Provisional Order Confirmation (Hertford Extension) Act 1920.

2ND SCH.
—cont.

PART VII

DESCRIPTION OF AREA SUPPLIED BY THE STEVENAGE CORPORATION

In the county of Hertford—

The urban district of Stevenage.

In the rural district of Hitchin—

Those parts of the parishes of Graveley Ippollitts Langley and Knebworth which prior to the County of Hertford (Stevenage Urban District and Hertford and Hitchin Rural Districts) Confirmation Order 1953 were within the urban district of Stevenage.

PART VIII

DESCRIPTION OF AREA SUPPLIED BY THE BALDOCK COUNCIL

In the county of Hertford—

The urban district of Baldock.

PART IX

DESCRIPTION OF AREA SUPPLIED BY THE HITCHIN COUNCIL

In the county of Hertford—

The urban district of Hitchin.

PART X

DESCRIPTION OF AREA SUPPLIED BY THE WARE COUNCIL

In the county of Hertford—

The urban district of Ware as it existed prior to the County of Hertford Review Order 1935.

PART XI

DESCRIPTION OF AREA SUPPLIED BY THE WELWYN GARDEN CITY COUNCIL

In the county of Hertford—

The urban district of Welwyn Garden City.

PART XII

DESCRIPTION OF AREA SUPPLIED BY THE BRAUGHING COUNCIL

In the county of Hertford—

The rural district of Braughing except the parish of High Wych.

PART XIII

2ND SCH.
—cont.

DESCRIPTION OF AREA SUPPLIED BY THE HERTFORD COUNCIL

In the county of Hertford—

The rural district of Hertford except—

The parish of Little Amwell;

Those parts of the parish of Brickendon Liberty which were not comprised in the parish of Brickendon Rural prior to the Hertfordshire (Brickendon Liberty) Confirmation Order 1928.

PART XIV

DESCRIPTION OF AREA SUPPLIED BY THE HITCHIN RURAL COUNCIL

In the county of Hertford—

The rural district of Hitchin except the parish of Knebworth and those parts of the parishes of Codicote Graveley Ippollitts and Langley described in Parts V and VII of this schedule.

PART XV

DESCRIPTION OF AREA SUPPLIED BY THE WARE RURAL COUNCIL

In the county of Hertford—

The rural district of Ware except the parishes of Great Amwell and Stanstead St. Margarets and so much of the parish of Ware Rural as was not within the parish of Thundridge prior to the Hertford County (Parishes of Standon Thundridge and Ware Rural) Confirmation Order 1952.

PART XVI

DESCRIPTION OF AREA SUPPLIED BY THE WELWYN COUNCIL

In the county of Hertford—

The rural district of Welwyn.

PART XVII

DESCRIPTION OF LIMITS OF SUPPLY OF THE COMPANY

(comprising the several areas described in Parts I to XVI of this schedule)

In the county of Essex—

The urban district of Epping.

The urban district of Harlow.

In the rural district of Dunmow—

The parishes of Great Hallingbury Hatfield Broad Oak and Little Hallingbury.

The rural district of Epping and Ongar.

2ND SCH.
—cont.

In the county of Hertford—

The borough of Hertford except—

- (a) so much of that borough as formed part of the parish of Little Amwell prior to the County of Hertford (Bengeo &c.) Confirmation Order 1894;
- (b) so much of that borough as formed part of the parishes of Great Amwell and Ware prior to the Borough of Hertford (Great Amwell and Ware) Order 1897; and
- (c) so much of that borough as formed part of the parish of St. John Rural prior to the Ministry of Health Provisional Order Confirmation (Hertford Extension) Act 1920.

The urban district of Baldock.

The urban district of Barnet except—

- (a) so much of that urban district as was excluded from the limits of supply of the Barnet Company by the Colne Valley Water (Variation of Limits) Order 1952; and
- (b) so much of that urban district as lies to the west of a line drawn from the boundary of the municipal borough of Hendon at a point approximately 200 yards south-west of the junction between Barnet Road and Hendon Wood Lane northwards along the boundary of the parish of Shenley as it existed prior to the County of Hertford Review Order 1935 to the centre of the Barnet By-Pass Road at a point approximately 700 yards south of the junction with Rowley Lane.

The urban district of Bishop's Stortford.

The urban district of East Barnet.

The urban district of Hitchin.

The urban district of Letchworth.

The urban district of Royston.

The urban district of Sawbridgeworth.

The urban district of Stevenage.

The urban district of Ware as it existed prior to the County of Hertford Review Order 1935.

The urban district of Welwyn Garden City.

The rural district of Braughing.

In the rural district of Elstree—

The parish of Ridge.

Those parts of the parishes of Elstree and Shenley which lie south of a line following the course of Rowley Lane but 242 yards north of the centre of that lane from the point where that lane meets the western boundary of the parish of Ridge in a south-westerly direction so far as the boundary of the parish of Shenley as it existed prior to the County of Hertford (Parishes of Shenley and Elstree) Confirmation Order 1951 east of a line running thence in a south-easterly direction along that former

boundary as far as the western side of Rowley Lane and thence along the western side of Rowley Lane for a distance of 730 yards and north of a line running thence along the boundary defined in the Colne Valley Water (Variation of Limits) Order 1952 as far as the boundary of the urban district of Barnet.

The rural district of Hatfield except—

So much of the parish of Bishop's Hatfield as lies south and west of a line drawn from the point where the parishes of Colney Heath Sandridge Rural and Bishop's Hatfield meet eastwards along the boundary between the former parishes of St. Peter Rural and Hatfield as that boundary existed prior to the County of Hertford Review Order 1935 to a point three and a half miles from the town hall of St. Albans and thence southwards along an arc with a radius of three and a half miles from the said town hall so far as the boundary of the parish of Bishop's Hatfield near Great Nast Hyde.

The rural district of Hertford except—

- (a) the parish of Little Amwell; and
- (b) those parts of the parish of Brickendon Liberty which were not comprised in the parish of Brickendon Rural prior to the Hertfordshire (Brickendon Liberty) Confirmation Order 1928.

The rural district of Hitchin.

In the rural district of St. Albans—

Those parts of the parish of Colney Heath which—

- (a) lie more than three and a half miles from the town hall of St. Albans;
- (b) prior to the County of Hertford Review Order 1935 were comprised in the parish of Ridge and lie within three and a half miles of the said town hall.

The rural district of Ware except—

- (a) the parishes of Great Amwell and Stanstead St. Margarets; and
- (b) so much of the parish of Ware Rural as was not within the parish of Thundridge prior to the Hertford County (Parishes of Standon Thundridge and Ware Rural) Confirmation Order 1952.

The rural district of Welwyn.

In the county of Middlesex—

In the borough of Enfield—

So much of that borough as lies west of a line drawn from the point where the boundary of the parish of Enfield crosses Ridgeway Road south-eastwards to the boundary of the municipal borough of Southgate at a point 450 yards west of the lodge at Snakes Lane thence west along the boundary of the parish of Enfield until it meets the boundary of the urban district of East Barnet.

2ND SCH.
—cont.

The borough of Finchley except—

- (a) so much of that borough as lies to the east of Dollis Brook and prior to the Middlesex Review Order 1934 was within the borough of Hendon;
- (b) so much of that borough as lies to the west of Dollis Brook and prior to the said order was within the borough of Hendon; and
- (c) so much of that borough as prior to the said order was within the borough of Hornsey.

In the borough of Hendon—

So much of that borough as lies to the west of Dollis Brook and prior to the Middlesex Review Order 1934 was within the borough of Finchley.

In the borough of Hornsey—

So much of that borough as prior to the Middlesex Review Order 1934 was within the borough of Finchley.

In the borough of Southgate—

- (a) so much of that borough as lies adjacent to Cockfosters Road and prior to the Middlesex Review Order 1934 formed part of the urban district of Enfield; and
- (b) so much of that borough as prior to the Middlesex Review Order 1934 formed part of the urban district of Friern Barnet.

The urban district of Friern Barnet except—

Those parts of that urban district which prior to the Middlesex Review Order 1934 were within the boroughs of Hornsey Southgate and Wood Green.

The urban district of Potters Bar.

THIRD SCHEDULE

PART I

PROVISIONS OF THE THIRD SCHEDULE TO THE ACT OF 1945
EXCEPTED FROM INCORPORATION

- Section 2 (Permissible limits of deviation);
- Section 7 (Power to acquire easements for underground works);
- Section 10 (Provisions as to compensation water);
- Section 74 (Maximum rates of dividend).

PART II

MODIFICATIONS OF THE THIRD SCHEDULE TO THE ACT OF 1945

3RD SCH.
—cont.

Provision (1)	Modification (2)
Section 3 (Limit on powers of undertakers to take water)	At the end of the section there shall be inserted the words "or unless the works were approved by the Minister under the Public Health Act 1936 or were authorised by and the lands specified in an enactment which applied immediately before the day of transfer to a transferred undertaking".
Section 46 (Water rates) ...	In paragraph (b) of subsection (1) for the words from "as may be prescribed" to the end of the paragraph there shall be substituted the words "not exceeding fifty per centum as the undertakers may from time to time determine".
Section 50 (Power to require supplies for refrigerating or water softening apparatus &c. to be taken by meter)	At the end of paragraph (c) there shall be inserted the words— "or (d) through a garden sprinkler".
Section 54 (Water rates on certain houses may be demanded from the owners)	In subsection (1) for the words "thirteen pounds" there shall be substituted the words "eighteen pounds" and the proviso shall be omitted.
Section 64 (Penalty for waste &c. of water by non-repair of water fittings)	The modifications set out in the schedule to the Local Government (Miscellaneous Provisions) Act 1953.
Section 75 (Sale of stock by auction or tender)	The word "stock" shall include shares and before the words "the undertakers" in subsection (2) where the words occur the second time and in subsection (3) there shall be inserted the words "the directors of".
Section 76 (Reserve and contingency funds)	(1) In subsection (1) for the word "they" there shall be substituted the words "the directors of the Company". (2) In paragraph (a) of subsection (1) for the word "them" there shall be substituted the words "the Company". (3) In subsection (3) for the words "the undertakers" there shall be substituted the words "the directors of the Company".

3RD SCH.
—cont.

Provision (1)	Modification (2)
Section 78 (Power to pay superannuation and other allowances &c. and to assist research)	(4) In subsection (5) for the words “one and one-quarter” there shall be substituted the word “two”. (1) In subsection (1) for the word “they” there shall be substituted the words “the directors of the Company”. (2) For the words “their employees” in paragraphs (a) and (b) of subsection (1) there shall be substituted the words “employees of the Company”. (3) After the words “or superannuation allowances” in paragraph (a) of subsection (1) there shall be inserted the words “or make such other payments as they may think fit”. (4) After the word “establish” in paragraph (b) of subsection (1) in the first place where it occurs there shall be inserted the words “and from time to time modify alter or rescind”. (5) At the end of subsection (2) there shall be inserted the following subsection:— “(2A) No modification alteration or rescission of any contributory superannuation scheme established under paragraph (b) of subsection (1) of this section shall place any employee who at the date of such modification alteration or rescission is entitled under such a scheme to a superannuation allowance in a worse position than he would have been if such modification alteration or rescission had not been made.”

FOURTH SCHEDULE

PART I

DIFFERENTIAL RATES FOR SUPPLIES OF WATER FOR DOMESTIC PURPOSES
DURING THE FIRST SIX YEARS AFTER THE DAY OF TRANSFER

In this Part the expression "standard rate" means the rate from time to time in force within the limits of supply other than those parts of the limits of supply in which a differential rate is in force under section 80 (Water rates and charges) of this Act.

Area (1)	Rate during first three years after day of transfer (2)	Rate during second three years after day of transfer (3)
The area set out in Part II of the Second Schedule to this Act (with the exception of the urban district of Bishop's Stortford)	Seventy-five per centum above the standard rate	Thirty-seven and one-half per centum above the standard rate.
The area set out in Part IV of the said schedule	Fifteen per centum below the standard rate	Seven and one-half per centum below the standard rate.
The area set out in Part VI of the said schedule	Twenty-five per centum below the standard rate	Twelve and one-half per centum below the standard rate.
The area set out in Part VII of the said schedule	Forty per centum above the standard rate	Twenty per centum above the standard rate.
The area set out in Part VIII of the said schedule	Twenty per centum below the standard rate	Ten per centum below the standard rate.
The area set out in Part IX of the said schedule	Twenty per centum below the standard rate	Ten per centum below the standard rate.
The area set out in Part X of the said schedule	Twenty per centum below the standard rate	Ten per centum below the standard rate.
The area set out in Part XI of the said schedule	Thirty-three and one-third per centum below the standard rate	Sixteen and two-thirds per centum below the standard rate.

4TH SCH.
— cont.

PART II

DIFFERENTIAL CHARGES FOR SUPPLIES OF WATER BY METER DURING THE
FIRST SIX YEARS AFTER THE DAY OF TRANSFER

In this Part the expression “standard charge” means the charge from time to time in force within the limits of supply other than those parts of the limits of supply in which a differential charge is in force under section 80 (Water rates and charges) of this Act.

Area (1)	Charge during first three years after day of transfer (2)	Charge during second three years after day of transfer (3)
The area set out in Part IV of the Second Schedule to this Act	Twenty-five per centum below the standard charge	Twelve and one-half per centum below the standard charge.
The area set out in Part VI of the said schedule	Fifty per centum below the standard charge	Twenty-five per centum below the standard charge.
The area set out in Part VII of the said schedule	Twenty-five per centum above the standard charge	Twelve and one-half per centum above the standard charge.
The area set out in Part VIII of the said schedule	Twenty per centum below the standard charge	Ten per centum below the standard charge.
The area set out in Part IX of the said schedule	Twenty per centum below the standard charge	Ten per centum below the standard charge.
The area set out in Part X of the said schedule	Twenty-five per centum below the standard charge	Twelve and one-half per centum below the standard charge.
The area set out in Part XI of the said schedule	Twenty per centum below the standard charge	Ten per centum below the standard charge.
The area set out in Part XV of the said schedule	Twenty per centum below the standard charge	Ten per centum below the standard charge.

FIFTH SCHEDULE

PART I

ENACTMENTS APPLYING TO THE BARNET COMPANY THE HERTS AND
ESSEX COMPANY AND THE STEVENAGE CORPORATION SAVED FROM
REPEAL REPRINTED AS AMENDED BY THIS ACT

THE BARNET DISTRICT GAS AND WATER ACT 1937

11.—(1) In this section—

For protection
of river Lee.

“the authorised works” means the Essendon Pumping Station and the adit which the Barnet and District Water Company were authorised to construct and maintain by subsection (1) of section 5 of this Act and includes the subsidiary works;

“the subsidiary works” means the works which the Barnet and District Water Company were authorised to construct and maintain by subsection (2) of the said section 5 whether constructed by that company or by the Company;

“the signed plan” means the plan signed in duplicate by the Right Honourable the Earl of Onslow the chairman of the committee of the House of Lords to whom the Bill for this Act was referred and deposited as to one copy in the Parliament Office House of Lords and as to the other copy in the Committee and Private Bill Office of the House of Commons and of which signed plan copies have been deposited with the clerk of the Metropolitan Water Board with the clerk to the Hertfordshire County Council with the clerk and general manager of the Lee Conservancy Catchment Board and at the head office of the Company;

“the specified area” means so much of the water limits as is coloured pink on the signed plan.

(2) The Company shall not construct any well or borehole forming part of the subsidiary works within a distance of one hundred feet from the channel of the river Lee on the north side of the enclosure numbered 33 referred to in the parish of Essendon on the Ordnance Map scale 1/2500 (Edition of 1923) Hertfordshire Sheet number XXXVI.1.

(3) Every well or borehole forming part of the subsidiary works shall be constructed by the Company to a depth of at least one hundred feet from the surface of the ground and shall be lined by the Company to that depth so as to be impermeable to water for that depth.

(4) No adit heading or other underground work for taking or intercepting water and being a work which communicates with any such well or borehole as aforesaid shall be constructed by the Company at a less distance from the channel of the river Lee on the north side of the said enclosure numbered 33 than the well or borehole with which it communicates or at a less depth than one hundred feet below the surface of the ground.

* * * * *

(6) The Company shall provide and maintain in an efficient state of repair such sealed valves reflux valves or other apparatus as may be necessary to ensure that the water pumped from the authorised works shall not be supplied without the consent of the Metropolitan Water Board the Hertfordshire County Council and the Lee Conservancy

5TH SCH.
—cont.

Catchment Board to premises situate outside the specified area except to the British Transport Commission pursuant to section 84 (For protection of the British Transport Commission) of the Lee Valley Water Act 1959.

(7) If at any time after the passing of this Act the drainage through the public sewers in that part of the specified area which is coloured pink and hatched red on the signed plan or of any portion of that part shall be diverted so as no longer to be directed to the river Lee the Company shall not supply water from the Essendon Pumping Station to or for use in any house or building erected after such diversion in the said part of the specified area or the portion thereof affected by such diversion as the case may be except with the consent in writing of the Metropolitan Water Board the Hertfordshire County Council and the Lee Conservancy Catchment Board in the case of each such supply.

* * * * *

(9) Nothing in this Act shall authorise the Company to abstract any water from the river Lee or from any stream discharging into that river.

Limit on
pumping.

12.—(1) The Company shall not except with the consent of the Metropolitan Water Board the Lee Conservancy Catchment Board and the Hertfordshire County Council (in this section referred to as “the three authorities”) pump at the Essendon Pumping Station in any month a greater quantity of water than is equivalent to an average of two million gallons a day:

Provided that the consent of the three authorities shall not be unreasonably withheld and any dispute which may arise between the Company and any of the three authorities as to whether the consent of that authority has been unreasonably withheld shall be referred to the Minister of Housing and Local Government who shall have power to decide what greater quantity (if any) of water may be so pumped by the Company and his decision shall be final.

(2) For the purpose of ascertaining the quantity of water pumped by the Company at the Essendon Pumping Station the Company shall before the completion of that pumping station provide thereat and shall at all times thereafter maintain in an efficient state of repair a suitable meter for automatically measuring and recording the quantity of water so pumped and a suitable instrument for recording the level of water in the well at that pumping station.

(3) The said meter and instrument and the records thereof shall at all reasonable hours in the daytime be open to inspection by the three authorities or any of them and any person duly authorised in writing by any of them.

(4) If it appears that in any month the Company have without the consent of the three authorities pumped water at the Essendon Pumping Station in excess of the quantity prescribed by this section or by a decision of the Minister of Housing and Local Government under this section they shall be liable to a penalty not exceeding ten pounds in respect of every fifty thousand gallons or part thereof by which the total quantity pumped in that month has exceeded the prescribed quantity which penalty shall be payable to the Metropolitan Water Board who shall have the right to sue for and recover such penalty

but without prejudice to any other right or remedy exercisable by or available to any of the three authorities in respect of such excess pumping.

5TH SCH.
—cont.

THE HERTS AND ESSEX WATER ACT 1944

11. For the protection of the Metropolitan Water Board (in this section referred to as “the board”) the following provisions shall unless otherwise agreed in writing between the Company and the board have effect (that is to say):—

For protection
of Metropolitan
Water Board.

- (1) Notwithstanding anything in the foregoing provisions of this Act the Company shall not under the powers exercisable by them under section 78 (Exercise of existing powers) of the Lee Valley Water Act 1959—

(a) construct or make any well shaft borehole heading adit or other work for collecting or abstracting water on the westerly side of a straight line drawn from the point of intersection in the parish of Roydon of the roads respectively leading from Didgemere Common to Eastend and from Roydon to Beaumont Hall to a point on the southern bank of the Stort Navigation three hundred and forty feet measured due east from the eastern side of the lock-keeper’s house at the lock shown on the deposited plan on the said navigation; or

(b) extend enlarge or alter any such work as aforesaid so that any part thereof is situate on the westerly side of the said straight line:

- (2) The aggregate quantity of water to be pumped by the Company by means of the borehole and pumping station (Work No. 1) by this Act sanctioned and confirmed and of the new works or any of them shall not on an average taken over any consecutive period of twenty-eight days each of twenty-four hours reckoned from midnight exceed the quantity of one million five hundred thousand gallons per day:
- (3) The Company shall keep records of the quantity of water from time to time pumped by them as aforesaid and of the respective levels of water from time to time in the wells boreholes and shafts of which the construction is sanctioned and confirmed or authorised by this Act and such records shall at all reasonable times be open to the inspection of officers of the board who shall be at liberty to take copies thereof.

* * * * *

21. For the protection of the county council of the administrative county of Essex (in this section referred to as “the council”) the following provisions shall except so far as may be otherwise agreed in writing between the Company and the council apply and have effect:—

For protection
of Essex County
Council.

- (1) In this section the signed plan means the plan which has been signed in duplicate by Messieurs T. and C. Hawksley on behalf of the Herts and Essex Company and John E. Lightburn on behalf of the council one copy of which has been retained by the Company and the other by the council:
- (2) Notwithstanding anything contained in this or any other Act the Company shall not except with the consent of the

5TH SCH.
—cont.

council erect or make or permit to be erected or made on the lands situate in the parish of Roydon in the rural district of Epping in the county of Essex delineated on the deposited plan and described in the deposited book of reference if acquired by them any building (other than boundary walls gates posts and fences) or any permanent excavation (other than workings which do not pierce the surface of the land) nearer to Harlow Road than the building line shown on the signed plan.

THE STEVENAGE DEVELOPMENT CORPORATION WATER ORDER 1949

For protection
of local
sources of
supply.

7.—(1) In this section—

“ authorised work ” includes the following works in the County of Hertford:—

(i) the Aston pumping station in the parish of Aston;

(ii) the Benington pumping stations in the parish of Benington;

being works authorised by subsection (1) of section 4 of this order;

“ protected source ” means any well, pond, spring or stream which is situated within two miles from the authorised work and is used at the commencement of this order as an effective source of supply;

“ owner ” includes a lessee or occupier.

(2) If at any time during the construction or after the completion of an authorised work it shall be proved by the owner of a protected source that pumping by the Company at that work has caused a diminution of the supply of water in the protected source, the Company shall at their option either—

(a) afford, or cause to be afforded, to the owner a supply of water equal to the amount of the diminution, so however, that any interruption of such a supply owing to frost, unusual drought or other unavoidable cause shall not be a breach of any obligation under this paragraph; or

(b) at the expense of the Company make such alterations in the pumping equipment installed at the protected source, whether by way of enlarging or altering the position of the equipment or of installing fresh equipment, as will make good the diminution; or

(c) at the expense of the Company deepen the protected source to such extent, or make such borings therein or headings therefrom, as will make good the diminution; or

(d) make compensation in money for the diminution:

Provided that—

(i) the Company shall not be under any liability under this section if the owner shall have failed to afford to the Company and their officers and servants without charge at all reasonable times after the commencement of this order access to the protected source and facilities for ascertaining the level and quantity of the water therein, and such information as the Company may reasonably require as to the cost to the owner of operating the protected source;

- (ii) where the Company elect to afford or cause to be afforded a supply of water under paragraph (a) of this subsection, their obligation thereunder shall not extend to the provision of a supply of water for domestic purposes if the water in the protected source is so polluted as to be, or be likely to be, injurious or dangerous to health;
- (iii) the option given by paragraph (d) of this subsection shall not be exercisable without the consent of the owner.

(3) The Company shall, if so required by an owner who has reasonable grounds for claiming that pumping at an authorised work has caused a diminution of the supply of water in a protected source of the owner, afford to him a temporary supply of water on reasonable terms, pending the determination of his claim.

(4) A supply of water afforded by the Company under paragraph (a) of subsection (2) of this section shall be afforded on such terms as may be agreed, or, failing agreement, determined by arbitration:

Provided that the charge to be made by the Company in any year for such a supply shall not exceed the amount by which the cost which the owner would have incurred in that year in obtaining his supply, if the supply had continued undiminished, exceeds the cost to him of obtaining the diminished supply.

(5) The Company shall pay to the owner—

(a) in a case where they cause a supply of water to be afforded under paragraph (a) of subsection (2) of this section, the amount by which the aggregate cost to the owner of that supply and of obtaining his diminished supply in any year exceeds the cost which he would have incurred in that year in obtaining his supply if the supply had continued undiminished;

(b) in a case where they make such alterations as are referred to in paragraph (b) of that subsection or execute any work mentioned in paragraph (c) thereof, the amount by which the cost to the owner of obtaining thereafter in any year a supply equivalent to his supply before the diminution exceeds the cost which he would have incurred in that year in obtaining his supply if the supply had continued undiminished.

(6) All mains, pipes, meters and fittings required for the purpose of supplying water to an owner in pursuance of this section shall be provided, laid, placed or fixed and maintained, by and at the expense of the Company:

Provided that fittings, other than mains, pipes and meters, which shall be placed or fixed upon the premises of the owner shall be repaired, maintained, renewed and made good by and at the expense of the owner to the satisfaction of the Company.

(7) An owner shall, without making any charge therefor, give the Company access and facilities for carrying out works in pursuance of this section.

(8) Any question which may arise between the Company and an owner under this section shall be determined by arbitration.

5TH SCH.
—cont.Saving for
Metropolitan
Water Board.

THE HERTS AND ESSEX WATER ACT 1953

63. Notwithstanding anything contained in this Act the Company shall not by means of the well and pumping station in the urban district of Sawbridgeworth authorised by section 11 of the Herts and Essex Water Order 1879 and the wells or boreholes and the adits and headings connected therewith in the said urban district continued by section 3 of the Herts and Essex Water Order 1952 take a greater quantity of water than two million five hundred thousand gallons per day taken as an average over any consecutive period of twenty-eight days of twenty-four hours reckoned from midnight.

THE HERTS AND ESSEX WATER (HARLOW DEVELOPMENT CORPORATION)
ORDER 1956Maintenance
construction
and use of
works.

9. . . .

(4) The Company may take for the purposes of the undertaking any underground waters (not being waters flowing in a defined channel) which may be intercepted by any of the wells boreholes and pumping stations described in the first schedule to this order:

Provided that in the exercise of the powers of this section the Company shall not take—

- (a) from the well and borehole in the parish of Widford described in paragraph (1) in Part I of the said schedule and the further works in connection therewith by this order authorised a greater quantity of water than one million gallons in any period of twenty-four hours;
- (b) from the three wells and boreholes in the parish of Sacombe described in paragraph (4) in Part I of the said schedule and the further works in connection therewith by this order authorised a greater quantity of water than three million gallons in any period of twenty-four hours;
- (c) from the three boreholes and pumping stations in the parish of Thundridge described in paragraph (6) in Part II of the said schedule and the further works in connection therewith in the said Part II described a greater quantity of water than two million gallons in any period of twenty-four hours reckoned from midnight.

* * * * *

For
protection
of local
sources of
supply.

12.—(1) In this section—

“ authorised work ” means any of the pumping stations described in the first schedule to this order;

“ protected source ” means—

(i) any well borehole or spring which is situated within two miles from an authorised work and is used at the commencement of this order as an effective source of supply;

(ii) any stream or part of any stream pond or pool which is situated within the distance aforesaid and is used at the commencement of this order as an effective source of

supply and is dependent wholly or partly for its maintenance and use upon any spring situated within the distance aforesaid;

5TH SCH.
—cont.

“owner” includes a lessee or occupier.

(2) If at any time during the construction or after the completion of an authorised work it shall be proved by the owner of a protected source that pumping by the Company at that work has caused a diminution of the supply of water obtainable from the protected source the Company shall at their option either—

- (a) afford or cause to be afforded to the owner a supply of water equal to the amount of the diminution so however that any interruption of such a supply owing to frost unusual drought or other unavoidable cause shall not be a breach of any obligation under this paragraph; or
- (b) at the expense of the Company make such alterations in the pumping equipment installed at the protected source whether by way of enlarging or altering the position of the equipment or of installing fresh equipment as will make good the diminution; or
- (c) at the expense of the Company deepen the protected source to such extent or make such borings therein or headings therefrom as will make good the diminution; or
- (d) (except in the case of a protected source owned by statutory water undertakers) make compensation in money for the diminution:

Provided that—

- (i) the Company shall not be under any liability under this section if the owner shall have failed to afford to the Company and their officers and servants without charge at all reasonable times after the commencement of this order access to the protected source and facilities for ascertaining the level and quantity of the water therein and such information as the Company may reasonably require as to the cost to the owner of operating the protected source;
- (ii) where the Company elect to afford or cause to be afforded a supply of water under paragraph (a) of this subsection their obligation thereunder shall not extend to the provision of a supply of water for domestic purposes if the water in the protected source is so polluted as to be or be likely to be injurious or dangerous to health;
- (iii) the option given by paragraph (d) of this subsection shall not be exercisable without the consent of the owner such consent not to be unreasonably withheld.

(3) The Company shall if so required by an owner who has reasonable grounds for claiming that pumping at an authorised work has caused a diminution of the supply of water in a protected source of the owner afford to him a temporary supply of water on reasonable terms pending the determination of his claim.

5TH SCH.
—cont.

(4) A supply of water afforded by the Company under paragraph (a) of subsection (2) of this section shall be afforded on such terms as may be agreed or failing agreement determined by arbitration:

Provided that the charge to be made by the Company in any year for such a supply shall not exceed the amount by which the cost which the owner would have incurred in that year in obtaining his supply if the supply had continued undiminished exceeds the cost to him of obtaining the diminished supply.

(5) The Company shall pay to the owner—

(a) in a case where they cause a supply of water to be afforded under paragraph (a) of subsection (2) of this section the amount by which the aggregate cost to the owner of that supply and of obtaining his diminished supply in any year exceeds the cost which he would have incurred in that year in obtaining his supply if the supply had continued undiminished;

(b) in a case where they make such alterations as are referred to in paragraph (b) of that subsection or execute any work mentioned in paragraph (c) thereof the amount by which the cost to the owner of obtaining thereafter in any year a supply equivalent to his supply before the diminution exceeds the cost which he would have incurred in that year in obtaining his supply if the supply had continued undiminished.

(6) All mains pipes meters and fittings required for the purpose of supplying water to an owner in pursuance of this section shall be provided laid placed or fixed and maintained by and at the expense of the Company:

Provided that fittings other than mains pipes and meters which shall be placed or fixed upon the premises of the owner shall be repaired maintained renewed and made good by and at the expense of the owner to the satisfaction of the Company.

(7) An owner shall without making any charge therefor give the Company access and facilities for carrying out works in pursuance of this section.

(8) Any question which may arise between the Company and an owner under this section shall be referred to arbitration.

* * * *

Repeals.

14. . . .

(2) (b) Section 12 (For protection of Eastern Electricity Board) and section 14 (For protection of Eastern Gas Board) of the Harlow Development Corporation Water Order 1952 shall continue and have effect in relation to the completion and maintenance by the Company of the lines of pipes comprised in Work No. 2 described in section 5 (Power to make &c. works) of the said order as if this order had not been made and as if for references in the said section 12 and for the first reference in the said section 14 to "the undertakers" there were substituted references to the Company.

(c) Section 13 (For protection of Lee Conservancy Catchment Board) of the said Order of 1952 shall apply to the exercise by the Company of the powers conferred upon them by section 9 of this order in relation to the wells boreholes and pumping stations authorised by paragraph (a) of subsection (2) of section 5 of the said order (and described in paragraph (4) in Part I of the first schedule to this order) and any works connected therewith or subsidiary thereto and to the construction by the Company of the specified work defined in the said section 13 (being the access road described in paragraph (5) in Part I of the first schedule to this order) as if the said section 13 were re-enacted herein and as if for references therein to "the undertakers" there were substituted references to the Company.

5TH SCH.
—cont.

* * * * *

FIRST SCHEDULE

PART I

(1) WORK No. 1.—A well and borehole and pumping station in the parish of Widford in the rural district of Ware in the county of Hertford in the enclosures numbered 14 14d 14e 15 16 and 18 in that parish on the 1/2500 Ordnance Map Hertfordshire Sheet XXX.3 (Edition of 1921);

* * * * *

(4) Three wells and boreholes and pumping stations in the parish of Sacombe in the rural district of Hertford in the county of Hertford in the enclosure numbered 139 in that parish on the 1/2500 Ordnance Map Hertfordshire Sheet XXI.15 (Edition of 1923);

And the works authorised by section 4 of the Third Schedule to the Water Act 1945 as applied to the Harlow undertaking by the Harlow Development Corporation Water Order 1952 and such mains as may have been laid by the Corporation for connecting the said pumping stations with one another and with any mains reservoirs or works of the Corporation or of the Company.

PART II

* * * * *

(6) Three boreholes and three pumping stations in the parish of Thundridge in the rural district of Ware in the county of Hertford on or under lands being parts of the enclosure numbered 14 on the 1/2500 Ordnance Map Hertfordshire Sheet XXII.13 (Edition of 1923) and of the enclosures numbered 14 and 153 on the 1/2500 Ordnance Map Hertfordshire Sheet XXX.1 (Edition of 1921);

And such mains as may be necessary or convenient for connecting the said pumping stations with one another and with any mains reservoirs or works of the Company and (in addition to the works authorised by section 4 of the Third Schedule to the Water Act 1945 as applied to the undertaking by this order) all such wells bores adits and headings as may be necessary or expedient for augmenting or improving the supply of water obtainable by means of the said pumping stations.

5TH SCH.
—cont.

As to
payments by
Epping and
Ongar
Rural District
Council to
Company.

THE HERTS AND ESSEX WATER ORDER 1958

13.—(1) In respect of each of the twelve years from the first day of October nineteen hundred and fifty-eight the rural district council of Epping and Ongar (hereinafter called “the council”) shall pay to the Company a sum calculated as hereinafter provided.

(2) The said sum in respect of each such year shall be equal to the amount by which one-eighth of the aggregate of—

(a) the principal amount of the loans raised by the council for the purposes of its water undertaking outstanding at the first day of October nineteen hundred and fifty-eight; and

(b) the sum of twenty-five thousand pounds;

(which one-eighth is hereinafter called “the guaranteed income”) exceeds the aggregate of the water rates received by the Company for that year whether for domestic or non-domestic purposes in respect of premises within the parishes of Blackmore Doddinghurst Norton Mandeville and Willingale in the rural district of Epping and Ongar in the county of Essex and part of the parish of Abbess Beauchamp and Berners Roding in the said rural district (being that part within which the Herts and Essex Company were not authorised to supply water immediately before the first day of October nineteen hundred and fifty-eight) and which shall be supplied from the mains vested in the Company as part of the council’s water undertaking but not (except as provided by subsection (4) of this section) from any extensions of those mains:

Provided that if in respect of any such year the aggregate of the said water rates exceeds the guaranteed income such excess shall be applied in reduction of the aggregate liability of the council to the Company for that year in respect of the undertaking or undertakings given by the council to the Company and referred to in subsection (4) of this section.

(3) The Company shall furnish to the council within three months after the thirty-first day of December in each of the twelve years referred to in subsection (1) of this section an account showing the amount received by the Company in respect of the water rates in respect of premises within the added limits for the year ended on that date and the said sum payable by the council under this section shall become due forthwith upon delivery of such account. The first and last of such accounts shall be for the apportioned part of the relevant year.

(4) If at any time during the said period of twelve years the council shall give to the Company an undertaking or undertakings either (as a local authority) under section 36 or (as the owner of land) under section 37 of the Water Act 1945 (or any statutory modification or re-enactment thereof) in respect of premises within the added limits any water rates received by the Company for any year in respect of premises the subject of such undertaking in excess of one-eighth of the expense of providing and laying the necessary mains to which such undertaking relates shall be added to the water rates received by the Company for that year under subsection (2) of this section for the purpose of calculating the sum due from the council thereunder.

PART II

5TH SCH.
—cont.

ENACTMENTS APPLYING TO THE BARNET COMPANY THE HERTS AND
ESSEX COMPANY THE ROYSTON COMPANY THE KNEBWORTH UNDERTAKER
THE STEVENAGE CORPORATION AND THE WELWYN GARDEN CITY
COUNCIL REPEALED

Enactment (1)	Extent of repeal (2)
The Barnet District Gas and Water Act 1872	The whole Act.
The Herts and Essex Water Order 1879 confirmed by the Gas and Water Orders Confirmation Act 1879	The whole Order.
The Barnet District Gas and Water Act 1883	The whole Act.
The Barnet District Gas and Water Act 1887	The whole Act.
The Royston Water Order 1897 confirmed by the Water Orders Confirmation Act 1897	The whole Order.
The Barnet District Gas and Water Act 1904	The whole Act.
The Herts and Essex Water Order 1907 confirmed by the Gas and Water Orders Confirmation (No. 2) Act 1907	The whole Order.
The Herts and Essex Water Act 1921	The whole Act.
The Barnet District Gas and Water Act 1926	The whole Act.
The Barnet District Gas and Water Act 1928	The whole Act.
The Knebworth Water Order 1929 confirmed by the Ministry of Health Provisional Order Confirmation (Knebworth Water) Act 1929	The whole Order and Act.
The Herts and Essex Water Order 1932 confirmed by the Ministry of Health Provisional Orders Confirmation (Elham Valley Water and Herts and Essex Water) Act 1932	The whole Order.
The Welwyn Garden City Urban District Council Act 1932	In section 4 (Interpretation)— the definitions of “the company” “the scheduled agreement” “the water undertaking of the com- pany” “the day of transfer” “the limits of supply” and “the water undertaking”. Part II (Acquisition of undertaking &c.). Section 23 (Rates payable by owners of small houses). Section 29 (Discounts).

5TH SCH.
—cont.

Enactment (1)	Extent of repeal (2)
The Barnet District Gas and Water Act 1937	The whole Act except— subsections (1) (2) (3) (4) (6) (7) and (9) of section 11 (For protection of river Lee); section 12 (Limit on pumping); subsection (1) and subsection (2) (other than paragraph (b)) of section 15 (Adjustment of water limits of Company and Metropolitan Water Board).
The Herts and Essex Water Act 1944	The whole Act so far as not already repealed except— section 11 (For protection of Metropolitan Water Board); section 21 (For protection of Essex County Council).
The Stevenage Development Corporation Water Order 1949	The whole Order except— section 7 (For protection of local sources of supply).
The Barnet District Water Order 1950	The whole Order.
The Herts and Essex Water Order 1952	The whole Order.
The Stevenage Development Corporation Water (Appointed day) Order 1952	The whole Order.
The Herts and Essex Water Act 1953	The whole Act except— section 63 (Saving for Metropolitan Water Board).
The Welwyn Garden City Water (Variation of Limits) Order 1953	The whole Order.
The Welwyn Garden City Water Order 1955	The whole Order.
The Royston Water Order 1955 ...	The whole Order.
The Stevenage Development Corporation Water Order 1955	The whole Order.
The Herts and Essex Water (Harlow Development Corporation) Order 1956	The whole Order except— subsection (4) of section 9 (Maintenance construction and use of works); section 12 (For protection of local sources of supply); paragraphs (b) and (c) of subsection (2) of section 14 (Repeals); Part I of the First Schedule in relation to wells boreholes and pumping stations; and Part II of the First Schedule.

Enactment (1)	Extent of repeal (2)
The Royston Water Order 1956 ...	The whole Order.
The Barnet District Water Order 1957	The whole Order.
The Barnet District Water Order 1958	The whole Order.
The Herts and Essex Water Order 1958	The whole Order except— section 13 (As to payment by council to Company).
The Herts and Essex Water (No. 2) Order 1958	The whole Order.
The Stevenage Development Corporation (Water Charges) Order 1958	The whole Order.

5TH SCH.
—cont.



Table of Statutes referred to in this Act

Short title	Session and chapter
Companies Clauses Consolidation Act 1845	8 & 9 Vict. c. 16.
Companies Clauses Act 1863	26 & 27 Vict. c. 118.
Telegraph Act 1869	32 & 33 Vict. c. 73.
Barnet District Gas and Water Act 1872...	35 & 36 Vict. c. clxxxix.
Telegraph Act 1878	41 & 42 Vict. c. 76.
Gas and Water Orders Confirmation Act 1879	42 & 43 Vict. c. clix.
Electric Lighting Act 1882	45 & 46 Vict. c. 56.
Barnet District Gas and Water Act 1883	46 & 47 Vict. c. cc.
Barnet District Gas and Water Act 1887	50 & 51 Vict. Sess. 2 c. ii.
Electric Lighting (Clauses) Act 1899 ...	62 & 63 Vict. c. 19.
Barnet District Gas and Water Act 1904	4 Edw. 7 c. cc.
Gas and Water Orders Confirmation (No. 2) Act 1907	7 Edw. 7 c. cxiii.
Ministry of Health Provisional Order Confirmation (Hertford Extension) Act 1920	10 & 11 Geo. 5 c. cxviii.
Herts and Essex Water Act 1921	11 & 12 Geo. 5 c. xx.
Trustee Act 1925	15 Geo. 5 c. 19.
Supreme Court of Judicature (Consolidation) Act 1925	15 & 16 Geo. 5 c. 49.
Barnet District Gas and Water Act 1926	16 & 17 Geo. 5 c. cxi.
Metropolitan Water Board Act 1927 ...	17 & 18 Geo. 5 c. lxxi.
Barnet District Gas and Water Act 1928	18 & 19 Geo. 5 c. iv.
Ministry of Health Provisional Order Confirmation (Knebworth Water) Act 1929	20 Geo. 5 c. xxxii.
Land Drainage Act 1930	20 & 21 Geo. 5 c. 44.
Welwyn Garden City Urban District Council Act 1932	22 & 23 Geo. 5 c. xxxvi.
Ministry of Health Provisional Orders Confirmation (Elham Valley Water and Herts and Essex Water) Act 1932	22 & 23 Geo. 5 c. lx.
Public Health Act 1936	26 Geo. 5 & 1 Edw. 8 c. 49.
Barnet District Gas and Water Act 1937	1 Edw. 8 & 1 Geo. 6 c. lv.
Herts and Essex Water Act 1944	7 & 8 Geo. 6 c. xii.
Water Act 1945	8 & 9 Geo. 6 c. 42.
Borrowing (Control and Guarantees) Act 1946	9 & 10 Geo. 6 c. 58.
Town and Country Planning Act 1947 ...	10 & 11 Geo. 6 c. 51.
Electricity Act 1947	10 & 11 Geo. 6 c. 54.
Companies Act 1948	11 & 12 Geo. 6 c. 38.
Gas Act 1948	11 & 12 Geo. 6 c. 67.
Wireless Telegraphy Act 1949	12 & 13 Geo. 6 c. 54.
Herts and Essex Water Act 1953	1 & 2 Eliz. 2 c. xi.
Local Government (Miscellaneous Provisions) Act 1953	1 & 2 Eliz. 2 c. 26.

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ARRANGEMENT OF SECTIONS

PART I

PRELIMINARY

Section

1. Short title.
2. Act divided into Parts.
3. Incorporation of Acts.
4. Interpretation.

PART II

INCORPORATION OF COMPANY

5. Incorporation of Company.
6. General purposes of Company.
7. As to directors.
8. First and subsequent directors.
9. As to appointment of managing director.
10. Directors not to be disqualified from holding offices of profit or entering into contracts.
11. Vacation of office of director.
12. Notice of candidature of or opposition to re-election of director.
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